

ACE HARDWARE CORPORATION
2025 Annual Report



ACE HARDWARE CORPORATION
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SUPPLEMENTARY DATA

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Report of Independent Auditors

The Board of Directors
Ace Hardware Corporation

Opinion

We have audited the consolidated financial statements of Ace Hardware Corporation (the Company), which comprise the consolidated balance sheets as of January 3, 2026 and December 28, 2024, and the related consolidated statements of income, comprehensive income, equity and cash flows for each of the three fiscal years in the period ended January 3, 2026, and the related notes (collectively referred to as the “financial statements”).

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company at January 3, 2026 and December 28, 2024, and the results of its operations and its cash flows for each of the three fiscal years in the period ended January 3, 2026 in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company’s ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor’s Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company’s internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company’s ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Other Information

Management is responsible for the other information. The other information comprises the management’s discussion and analysis of financial condition and results of operations and five-year summary of earnings and distributions but does not include the financial statements and our auditor’s report thereon. Our opinion on the financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Ernst & Young LLP

February 17, 2026

ACE HARDWARE CORPORATION
CONSOLIDATED BALANCE SHEETS
(In millions, except share data)

	January 3, 2026	December 28, 2024
Assets		
Cash and cash equivalents	\$ 46.8	\$ 36.3
Marketable securities	40.5	42.7
Receivables, net of allowance for doubtful accounts of \$17.0 and \$10.9, respectively	739.9	727.8
Inventories	1,200.8	1,197.9
Prepaid expenses and other current assets	89.9	87.3
Total current assets	2,117.9	2,092.0
Property and equipment, net	746.4	594.6
Operating lease right-of-use assets, net	742.5	798.2
Finance lease right-of-use assets, net	171.4	185.7
Goodwill and other intangible assets	464.7	455.6
Other assets	202.4	166.7
Total assets	<u>\$ 4,445.3</u>	<u>\$ 4,292.8</u>
Liabilities and Equity		
Current maturities of long-term debt	\$ 63.4	\$ 80.6
Accounts payable	1,188.5	1,215.2
Patronage distributions payable in cash	139.0	137.2
Patronage refund certificates payable	24.3	15.0
Current operating lease liabilities	102.5	94.4
Current finance lease liabilities	43.4	37.9
Accrued expenses	337.7	313.1
Total current liabilities	1,898.8	1,893.4
Long-term debt	403.8	246.5
Patronage refund certificates payable	250.5	205.8
Long-term operating lease liabilities	673.7	728.4
Long-term finance lease liabilities	123.8	145.0
Other long-term liabilities	194.6	151.8
Total liabilities	3,545.2	3,370.9
Member Retailers' Equity:		
Class A voting common stock, \$1,000 par value, 10,000 shares authorized, 2,586 and 2,586 issued and outstanding, respectively	2.6	2.6
Class C nonvoting common stock, \$100 par value, 20,000,000 shares authorized, 7,757,661 and 7,528,693 issued and outstanding, respectively	775.8	752.9
Class C nonvoting common stock, \$100 par value, issuable to Retailers for patronage distributions, 815,156 and 825,206 shares issuable, respectively	81.5	82.5
Contributed capital	18.9	19.3
Retained earnings	17.9	58.5
Accumulated other comprehensive income (loss)	0.6	(1.9)
Equity attributable to Ace member Retailers	897.3	913.9
Equity attributable to noncontrolling interests	2.8	8.0
Total equity	900.1	921.9
Total liabilities and equity	<u>\$ 4,445.3</u>	<u>\$ 4,292.8</u>

See accompanying notes to the consolidated financial statements.

ACE HARDWARE CORPORATION
CONSOLIDATED STATEMENTS OF INCOME
(In millions)

	Years Ended		
	January 3, 2026 (53 Weeks)	December 28, 2024 (52 Weeks)	December 30, 2023 (52 Weeks)
Revenues:			
Wholesale revenues	\$ 9,159.0	\$ 8,666.0	\$ 8,344.7
Retail revenues	884.6	825.4	786.4
Total revenues	10,043.6	9,491.4	9,131.1
Cost of revenues:			
Wholesale cost of revenues	7,891.0	7,495.6	7,223.1
Retail cost of revenues	479.6	450.7	430.1
Total cost of revenues	8,370.6	7,946.3	7,653.2
Gross profit:			
Wholesale gross profit	1,268.0	1,170.4	1,121.6
Retail gross profit	405.0	374.7	356.3
Total gross profit	1,673.0	1,545.1	1,477.9
Wholesale operating expenses:			
Distribution operations expenses	306.4	288.6	281.5
Selling, general and administrative expenses	384.9	342.4	314.7
Retailer success and development expenses	328.3	294.3	234.5
Retail operating expenses	331.4	297.7	280.1
Retail pre-opening expenses	2.2	4.8	6.0
Total operating expenses	1,353.2	1,227.8	1,116.8
Operating income	319.8	317.3	361.1
Interest expense	(57.0)	(48.9)	(38.4)
Interest income	7.0	6.9	5.4
Other income (expense), net	22.6	36.5	(3.7)
Income tax benefit (expense)	1.0	2.3	(1.0)
Net income	293.4	314.1	323.4
Less net loss attributable to noncontrolling interests	(5.1)	(0.9)	(2.7)
Net income attributable to Ace Hardware Corporation	\$ 298.5	\$ 315.0	\$ 326.1
Patronage distributions accrued	\$ 361.8	\$ 357.0	\$ 356.5
Patronage distributions accrued for third party Retailers	\$ 339.6	\$ 335.6	\$ 335.7

See accompanying notes to the consolidated financial statements.

ACE HARDWARE CORPORATION
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In millions)

	Years Ended		
	January 3, 2026 (53 Weeks)	December 28, 2024 (52 Weeks)	December 30, 2023 (52 Weeks)
Net income	\$ 293.4	\$ 314.1	\$ 323.4
Other comprehensive income (loss), net of tax:			
Foreign currency translation gain (loss)	1.0	(2.8)	2.0
Unrealized gain on investments	1.7	-	1.1
Total other comprehensive income (loss), net	2.7	(2.8)	3.1
Comprehensive income	296.1	311.3	326.5
Less comprehensive loss attributable to noncontrolling interests	(4.9)	(1.4)	(2.2)
Comprehensive income attributable to Ace Hardware Corporation	\$ 301.0	\$ 312.7	\$ 328.7

See accompanying notes to the consolidated financial statements.

ACE HARDWARE CORPORATION
CONSOLIDATED STATEMENTS OF EQUITY
(In millions)

Shareholders of Ace Hardware Corporation

	Capital Stock		Class C Stock Issuable to Retailers for Patronage Dividends	Additional Stock Subscribed	Contributed Capital	Retained Earnings	Accumulated Other Comprehensive (Loss) Income	Noncontrolling Interests	Total Equity
	Class A	Class C							
Balances at December 31, 2022	\$ 2.7	\$ 656.1	\$ 118.1	\$ -	\$ 19.2	\$ 87.2	\$ (2.3)	\$ 10.8	\$ 891.8
Net income	-	-	-	-	-	326.1	-	(2.7)	323.4
Other comprehensive income	-	-	-	-	-	-	3.1	-	3.1
Net payments on subscriptions	-	-	-	1.0	-	-	-	-	1.0
Stock issued	-	116.9	(118.1)	(1.0)	-	0.6	-	-	(1.6)
Change in noncontrolling interests	-	-	-	-	(0.1)	-	(0.5)	0.6	-
Stock repurchased	(0.1)	(50.4)	-	-	-	-	-	-	(50.5)
Patronage distributions issuable	-	-	89.7	-	-	-	-	-	89.7
Patronage distributions payable	-	-	-	-	-	(335.7)	-	-	(335.7)
Other	-	-	-	-	0.1	-	-	0.1	0.2
Balances at December 30, 2023	\$ 2.6	\$ 722.6	\$ 89.7	\$ -	\$ 19.2	\$ 78.2	\$ 0.3	\$ 8.8	\$ 921.4
Net income	-	-	-	-	-	315.0	-	(0.9)	314.1
Other comprehensive loss	-	-	-	-	-	-	(2.8)	-	(2.8)
Net payments on subscriptions	-	-	-	1.5	-	-	-	-	1.5
Stock issued	0.1	89.2	(89.7)	(1.5)	-	0.6	-	-	(1.3)
Change in noncontrolling interests	-	-	-	-	0.2	-	0.6	0.1	0.9
Stock repurchased	(0.1)	(58.9)	-	-	-	-	-	-	(59.0)
Patronage distributions issuable	-	-	82.5	-	-	-	-	-	82.5
Patronage distributions payable	-	-	-	-	-	(335.6)	-	-	(335.6)
Other	-	-	-	-	(0.1)	0.3	-	-	0.2
Balances at December 28, 2024	\$ 2.6	\$ 752.9	\$ 82.5	\$ -	\$ 19.3	\$ 58.5	\$ (1.9)	\$ 8.0	\$ 921.9
Net income	-	-	-	-	-	298.5	-	(5.1)	293.4
Other comprehensive income	-	-	-	-	-	-	2.7	-	2.7
Net payments on subscriptions	-	-	-	1.5	-	-	-	-	1.5
Stock issued	0.1	82.6	(82.5)	(1.5)	-	0.5	-	-	(0.8)
Change in noncontrolling interests	-	-	-	-	0.3	-	(0.2)	(0.1)	-
Stock repurchased	(0.1)	(59.7)	-	-	-	-	-	-	(59.8)
Patronage distributions issuable	-	-	81.5	-	-	-	-	-	81.5
Patronage distributions payable	-	-	-	-	-	(339.6)	-	-	(339.6)
Other	-	-	-	-	(0.7)	-	-	-	(0.7)
Balances at January 3, 2026	\$ 2.6	\$ 775.8	\$ 81.5	\$ -	\$ 18.9	\$ 17.9	\$ 0.6	\$ 2.8	\$ 900.1

See accompanying notes to the consolidated financial statements.

ACE HARDWARE CORPORATION
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In millions)

	Years Ended		
	January 3, 2026 (53 Weeks)	December 28, 2024 (52 Weeks)	December 30, 2023 (52 Weeks)
Operating Activities			
Net income	\$ 293.4	\$ 314.1	\$ 323.4
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	108.6	99.7	92.2
Non cash lease expense	45.4	32.2	26.9
Amortization of deferred financing costs	0.9	0.9	1.3
Loss (gain) on disposal of assets, net	1.5	(16.0)	5.5
Provision for doubtful accounts	11.1	2.0	6.9
Deferred taxes	(2.4)	(1.6)	(0.1)
Other, net	10.6	0.6	1.2
Changes in operating assets and liabilities, exclusive of effect of acquisitions:			
Receivables	(75.5)	(78.5)	(55.4)
Inventories	2.2	54.9	74.7
Other current assets	(2.6)	(17.4)	(9.1)
Other long-term assets	(12.4)	(18.6)	(13.5)
Accounts payable and accrued expenses	7.7	149.7	(104.7)
Other long-term liabilities	11.3	26.1	14.5
Net cash provided by operating activities	<u>399.8</u>	<u>548.1</u>	<u>363.8</u>
Investing Activities			
Purchases of investment securities	(9.6)	(24.6)	(39.9)
Proceeds from sale of investment securities	9.8	30.0	43.2
Purchases of property and equipment	(226.9)	(155.4)	(164.6)
Cash paid for acquired businesses, net of cash acquired	(17.8)	(58.6)	(309.7)
Increase in notes receivable, net	(31.3)	(37.3)	(31.8)
Proceeds from sale of assets	0.8	22.7	1.3
Other, net	(1.0)	0.4	(0.8)
Net cash used in investing activities	<u>(276.0)</u>	<u>(222.8)</u>	<u>(502.3)</u>
Financing Activities			
Net borrowings (payments) under revolving lines of credit	139.7	(85.3)	362.0
Principal payments on long-term debt	(22.6)	(21.1)	(17.8)
Principal portion of finance lease payments	(52.7)	(40.3)	(28.3)
Payments of debt issuance costs	(0.4)	-	(4.4)
Payments of cash portion of patronage distribution	(137.8)	(137.1)	(133.1)
Payments of patronage refund certificates	(28.8)	(22.9)	(26.7)
Repurchase of stock	(12.2)	(15.1)	(10.8)
Purchase of noncontrolling interests	(1.2)	(0.9)	(0.4)
Other, net	2.7	1.8	1.4
Net cash (used in) provided by financing activities	<u>(113.3)</u>	<u>(320.9)</u>	<u>141.9</u>
Increase in cash and cash equivalents	10.5	4.4	3.4
Cash and cash equivalents at beginning of period	36.3	31.9	28.5
Cash and cash equivalents at end of period	<u>\$ 46.8</u>	<u>\$ 36.3</u>	<u>\$ 31.9</u>
Supplemental disclosure of cash flow information:			
Interest paid	\$ 50.6	\$ 39.4	\$ 29.7
Income taxes paid	\$ 5.3	\$ 7.9	\$ 5.6

See accompanying notes to the consolidated financial statements.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In millions)

(1) Summary of Significant Accounting Policies

The Company and Its Business

Ace Hardware Corporation (“the Company”) is a wholesaler of hardware, paint and other related products. The Company also provides to its retail members (“Retailers”) value-added services such as advertising, marketing, merchandising and store location and design services. The Company’s goods and services are sold predominately within the United States, primarily to retailers that operate hardware stores and with whom the Company has a retail membership agreement. As a retailer-owned cooperative, the Company distributes substantially all of its patronage sourced income in the form of patronage distributions to Retailers based on their volume of merchandise purchases.

Ace International Hardware Corporation (“AIH”), is a majority-owned and controlled subsidiary of the Company with a 20.5 percent noncontrolling interest held by AIH customers. AIH shareholders do not own shares of stock in the Company nor receive patronage dividends.

Ace Retail Holdings LLC (“ARH”) is the owner of the 189-store Westlake Ace Hardware (“Westlake”) and the 79-store Great Lakes Ace Hardware (“GLA”) retail chains. On December 31, 2025, Westlake and GLA were merged into a newly formed entity, Ace Retail Group, Inc. (“ARG”). Following the merger, ARH is the owner of ARG, which serves as the operating company for the combined retail operations. ARG is a retailer of hardware, paint and other related products.

Ace Wholesale Holdings LLC (“AWH”) owns and operates Emery Jensen Distribution (“EJD”). EJD is a wholesaler of hardware, paint and other related products to non-member retailers.

Ace Services Holdings LLC (“ASH”), through its subsidiaries, operates Ace Hardware Home Services (“AHHS”), a provider of residential plumbing, heating, cooling and electric (“PHCE”) services, and Ace Handyman Services, a franchisor of home improvement, maintenance and repair services.

Basis of Presentation

The accompanying consolidated financial statements have been prepared in accordance with U.S. generally accepted accounting principles (“GAAP”). The Company’s fiscal year ends on the Saturday nearest December 30. Accordingly, fiscal years 2025, 2024 and 2023 ended on January 3, 2026, December 28, 2024 and December 30, 2023, respectively. Unless otherwise noted, all references herein for the years 2025, 2024 and 2023 represent fiscal years ended January 3, 2026, December 28, 2024 and December 30, 2023, respectively. Fiscal year 2025 consisted of 53 weeks. Fiscal years 2024 and 2023 consisted of 52 weeks each.

Subsequent events have been evaluated through February 17, 2026, the date these statements were issued.

Principles of Consolidation

The accompanying consolidated financial statements include the accounts of the Company and its majority-owned subsidiaries. All intercompany transactions have been eliminated.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash, Cash Equivalents and Marketable Securities

In the normal course of business, the Company has outstanding checks and unsettled electronic funds transfers (“EFTs”) that exceed the cash balances in the Company’s bank accounts, which create a book overdraft that are recorded as a liability. As of January 3, 2026 and December 28, 2024, the Company had outstanding checks and EFTs in excess of bank balances totaling \$108.7 million and \$93.6 million, respectively, which have been included in accounts payable in the accompanying consolidated balance sheets. These outstanding amounts were subsequently funded through cash receipts and borrowings under the Company’s debt facilities during the following fiscal year.

The Company classifies all highly liquid investments with original maturities of three months or less as cash equivalents.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

The Company determines the appropriate classification of its investments in marketable securities, which are predominately held by the Company's New Age Insurance, Ltd. ("NAIL") subsidiary, at the time of purchase and evaluates such designation at each balance sheet date. All marketable securities have been classified and accounted for as available for sale. The Company may hold debt securities until maturity. In response to changes in the availability of and the yield on alternative investments as well as liquidity requirements, securities are occasionally sold prior to their stated maturities. Debt securities with maturities beyond twelve months are viewed by the Company as available to support current operations and are therefore classified as current assets in the accompanying Consolidated Balance Sheets. Marketable securities are carried at fair value based on quoted market prices, with unrealized gains and losses, net of taxes, reported as a component of Accumulated other comprehensive income ("AOCI") for debt securities, while equity securities' unrealized gain and losses are recorded as a component of Other income, net. Realized gains and losses on securities are determined using the specific identification method.

In the normal course of NAIL's operations, standby letters of credit totaling \$21.2 million and \$17.2 million at January 3, 2026 and December 28, 2024, respectively, were issued in favor of the insurance companies that reinsure a portion of NAIL's loss exposure. At January 3, 2026, NAIL has pledged substantially all of its cash and cash equivalents and marketable securities as collateral for these letters of credit. The Company maintains a multiple employer welfare arrangement ("MEWA") that offers medical insurance and other welfare benefits to employees of the Company and Retailers and their employees at participating Ace retail locations. See Note 12 for more information.

Revenue Recognition

Revenue is recognized when performance obligations under the terms of contracts with our customers are satisfied; generally, this occurs with the transfer of control of merchandise or services. Revenue is measured as the amount of consideration we expect to receive in exchange for transferring goods or providing services. The Company excludes sales and usage-based taxes collected and recognizes revenues net of expected returns. Provisions for sales returns are provided at the time the related sales are recorded based on historic returns activity.

The Company's warehouse merchandise revenue originates with a single performance obligation to ship the products, and therefore the Company's performance obligations are satisfied when control of the products is transferred to the customer per the arranged shipping terms. The customer takes ownership and assumes risk of loss for warehouse merchandise upon delivery. Although products are generally shipped FOB shipping point, the Company effectively retains the responsibilities of ownership until the goods reach the customer. The Company considers shipping and handling as activities to fulfill its performance obligation for warehouse merchandise revenues. Billings for freight are accounted for as Revenues and shipping and handling costs are accounted for in Cost of revenues.

The Company has direct shipment arrangements with various vendors to deliver products to its customers without having to physically hold the inventory at the Company's warehouses, thereby increasing efficiency and reducing costs. The Company recognizes revenue for direct shipment arrangements upon delivery to the customer with contract terms that typically specify FOB destination. The Company recognizes the revenue and cost of goods sold from these arrangements on a gross basis as the principal in the transaction as the Company is primarily responsible for fulfilling the promise to customers to provide merchandise at negotiated prices with the vendors, assumes inventory risk if the product is returned by the customers, and assumes all the credit risk for the vendors with the customers.

Service revenues (advertising activities, brand building initiatives and fees for other services provided primarily to domestic Retailers) are recognized when the service is complete as this is when the Retailer has the ability to direct the use of and obtain the benefits from the service. Service revenues from the Company's residential home service businesses are recognized when the repair or installation is complete and the consumer has tendered payment. Service revenues are included in Wholesale revenues on the Consolidated Statements of Income.

The Company's digital revenues come from Ace Hardware's website. For digital transactions, customers choose whether to have merchandise delivered to them or to collect their merchandise from an Ace store ("in-store pick up"). For items delivered directly to the customer, control passes and revenue is recognized when delivery has been completed to the customer, as title has passed and we have transferred possession to the customer. For in-store pick up, control passes and revenue is recognized once the customer has taken possession of the merchandise. Any fees charged to customers for delivery are a component of the transaction price and are recognized when delivery has been completed. Payment terms for retail and digital sales are at the point of sale. Digital revenues are included in Wholesale revenues on the Consolidated Statements of Income.

Retail revenues from retail locations owned and operated by the Company are recognized when the customer takes ownership of the products sold and assumes the risk of loss. The customer takes ownership and assumes risk of loss generally at the point of sale in our owned retail locations. The Company offers its Retailers various incentive programs which provide the Retailers with certain sales allowances. The Company offers these incentive programs in anticipation of future sales to the Retailers that participate in these

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

programs. Since the sales allowances provide future economic benefit to the Company, they are capitalized in Other assets and amortized as a reduction of revenue on a straight-line basis over the period of expected future sales to these Retailers, which is generally five years.

The following table provides a summary of revenues by sales category:

	Years Ended	
	January 3, 2026	December 28, 2024
Warehouse merchandise	\$ 6,430.2	\$ 6,162.7
Direct shipment merchandise	1,640.2	1,556.9
Retail revenues	884.6	825.4
Digital revenues	485.4	382.3
Service revenues	603.2	564.1
Total revenues	\$ 10,043.6	\$ 9,491.4

Trade Receivables

Trade receivables from customers include amounts invoiced for the sale of merchandise, services and equipment used in the operation of customers' businesses.

Notes Receivable

The Company makes available to its Retailers various lending programs whose terms exceed one year. The notes bear interest at various rates based on market rates, the loan program or the Retailer's credit quality and are recorded at face value. Interest is recognized over the life of the note on the effective interest method. Loan origination fees were not material for any period presented.

Allowance for Expected Credit Losses

The Company estimates an allowance for credit losses related to future expected losses by using relevant information such as historical collection statistics, current customer credit information, the current economic environment, the aging of receivables, the evaluation of compliance with lending covenants and the offsetting amounts due to Retailers for stock, notes, interest and anticipated but unpaid patronage distributions. Significant past due accounts are reserved on a specific identification basis. For the remainder of the accounts, the allowance is evaluated on a pool basis for accounts with similar risk characteristics and a loss-rate for each pool is determined using current conditions and historical credit loss statistics. The Company considers accounts and notes receivable past due if invoices remain unpaid past their due date and provides for the write-off of uncollectible receivables after exhausting all commercially reasonable collection efforts.

Inventories

Wholesale inventories are valued at the lower of cost or net realizable value. Cost is determined primarily using the last-in, first-out ("LIFO") method for all inventories.

Inventories at retail locations operated by ARG are valued at the lower of cost or net realizable value. Inventory cost is determined using the moving average method, which approximates the first-in, first-out ("FIFO") method.

Vendor Funds

The Company receives funds from vendors in the normal course of business principally as a result of purchase volumes, sales, early payments or promotions of vendors' products. Based on the provisions of the vendor agreements in place, management develops accrual rates by estimating the point at which the Company will have completed its performance under the agreement and the amount agreed upon will be earned. Amounts accrued throughout the year can be impacted if actual purchase volumes differ from projected annual purchase volumes. At year-end, the accrual reflects actual purchases made throughout the year.

Vendor funds are treated as a reduction of inventory cost, unless they represent a reimbursement of specific, incremental and identifiable costs incurred by the Company to sell the vendor's product, in which case the costs are netted. The majority of the vendor funds that the Company receives do not meet the specific, incremental and identifiable criteria. Therefore, the Company treats a majority of these funds as a reduction in the cost of inventory as the amounts are accrued and recognizes these funds as a reduction of cost of revenues when the inventory is sold.

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NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

Property and Equipment

Property and equipment are stated at cost less accumulated depreciation and amortization. Expenditures for maintenance, repairs and renewals of relatively minor items are generally charged to expense. Significant improvements or renewals are capitalized.

Depreciation expense is computed on the straight-line method based on estimated useful lives as follows:

Buildings	15 – 40 years
Leasehold improvements	Lease life
Warehouse equipment	3 – 20 years
Transportation equipment	5 – 10 years
Office equipment	3 – 10 years

Leasehold improvements are generally amortized on a straight-line basis over the lesser of the lease term or the estimated useful life of the asset.

The Company evaluates long-lived assets, such as property and equipment, for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset group to estimated undiscounted future cash flows expected to be generated by the asset group. If the carrying amount of an asset group exceeds its estimated future cash flows, an impairment charge is recognized in the amount by which the carrying amount of the asset group exceeds its fair value.

Goodwill and Other Intangible Assets

Goodwill represents the excess of the cost of an acquired business over the fair value of the net tangible assets acquired and identified intangible assets. Goodwill is not amortized but is tested for impairment at a reporting unit level on an annual basis as of the first day of the fourth quarter, or more frequently, if circumstances change or an event occurs that would more likely than not reduce the fair value of a reporting unit below its carrying amount.

The Company's other intangible assets primarily relate to trademarks, tradenames and customer relationships. The intangibles are amortized over their estimated useful lives.

See Note 8 for additional information.

Internal-Use Software

Included in fixed assets is the capitalized cost of internal-use software. The Company capitalizes costs incurred during the application development stage of internal-use software and amortizes these costs over its estimated useful life. Costs incurred related to design or maintenance of internal-use software are expensed as incurred.

Leases

At the commencement date of a lease, the Company recognizes a liability to make lease payments and an asset representing the right to use the underlying asset during the lease term. The lease liability is measured at the present value of lease payments over the lease term, including variable fees that are known or subject to a minimum floor. The Company generally does not include options to extend or terminate leases unless it is reasonably certain that the option will be exercised. The Company has lease agreements that contain both lease and non-lease components. The Company elected to not separate non-lease components from lease components for all categories. The Company utilizes the practical expedient to use a risk-free discount rate at commencement date based upon the lease term in determining the recognition of the operating and finance lease assets and liabilities. The initial valuation of the right-of-use ("ROU") asset includes the initial measurement of the lease liability, lease payments made in advance of the lease commencement date and initial direct costs incurred by the Company and excludes lease incentives.

Real estate operating leases also typically require payment of real estate taxes, common area maintenance and insurance. These components comprise the majority of variable lease costs and are excluded from the present value of lease obligations. Operating lease assets also include prepaid or accrued lease payments and are reduced by lease incentives.

Certain retail lease agreements also provide for contingent rentals based on sales performance in excess of specified minimums or on changes in the consumer price indexes. Contingent rentals, which are based upon future performance or changes in indices, are excluded from the determination of lease payments and were not material.

Leases with an initial term of 12 months or less are classified as short-term leases and are not recorded on the Consolidated Balance Sheets. The lease expense for short-term leases is recognized on a straight-line basis over the lease term.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

Advertising Expense

The Company expenses advertising costs when incurred. Gross advertising expenses amounted to \$374.6 million, \$336.9 million, and \$297.7 million in fiscal 2025, 2024 and 2023, respectively.

Gift Cards

The Company sells gift cards to customers through its Retailers, the Company website and select third parties. The gift cards do not expire. A liability is initially established for the value of the gift card when sold. Gift card breakage income is recognized proportionately as redemption occurs at the approximate monthly breakage rate and represents the balance of gift cards for which the Company believes the likelihood of redemption by the customer is remote. The breakage income calculation takes into account any legal obligation to remit the unredeemed portion to relevant jurisdictions. During fiscal years 2025, 2024 and 2023, the Company recognized gift card breakage income of \$2.5 million, \$4.3 million and \$3.3 million, respectively. The Company does not believe there is a reasonable likelihood that there will be a material change in the future estimates or assumptions used to record breakage.

Retirement Plans

The Company sponsors health benefit plans for its retired officers and a limited number of retired non-officer employees. The Company and its subsidiaries also sponsor defined contribution plans for substantially all employees. The Company's contributions under these plans are determined annually by the Board of Directors and charged to expense in the period in which it is earned by employees.

Income Taxes

The Company accounts for income taxes using the asset and liability method. Under this approach, deferred taxes are recognized for the future tax consequences of differences between the financial statement and income tax bases of existing assets and liabilities and measured based upon enacted tax laws and rates.

Self-Insurance

NAIL, the Company's wholly-owned subsidiary, operates as a captive insurance company. NAIL provides the reinsurance of property and casualty insurance policies for some Retailers and is the direct insurer for certain property and casualty insurance policies of the Company. These insurance programs are subject to varying retention levels of self-insurance. Such self-insurance relates to losses and liabilities primarily associated with property, general liability, workers' compensation, and auto liability insurance programs. Losses are accrued based upon the Company's estimates of the aggregate liability for claims incurred using certain actuarial assumptions based on Company experience and insurance industry metrics.

Concentration of Credit Risk

Credit risk pertains primarily to the Company's trade and notes receivables. The Company extends credit to its customers as part of its day-to-day operations. Management believes that as no specific receivable or group of receivables comprises a significant percentage of total trade accounts, its concentration of credit risk with respect to trade receivables is limited. Additionally, management believes that its allowance for doubtful accounts is adequate with respect to overall customer credit risks. Also, the Company's certificate of incorporation and by-laws specifically provide that the Company may set-off its obligation to make any payment to a Retailer for such Retailer's stock, notes, interest and declared and unpaid distributions against any obligation owed by the Retailer to the Company. The Company, but not the Retailer, may at its sole discretion exercise these set-off rights when any such funds become due to former Retailers with outstanding accounts and notes receivable owed to the Company and current Retailers with past due receivables owed to the Company.

Supplier Finance Program

The Company has a supplier finance program whereby we have entered into a payment processing agreement with a financial institution. Under this agreement, the financial institution acts as our paying agent with respect to accounts payable due to certain foreign suppliers. Participating suppliers may, at their sole discretion, elect to receive payment for one or more of our payment obligations, prior to their scheduled due dates, at a discounted price from the participating financial institution. The Company is not a party to the agreements between the participating financial institution and the suppliers in connection with the program, and our rights and obligations to our suppliers are not impacted. The Company does not reimburse suppliers for any costs they incur for participation in the program. The Company has not pledged any assets as security or provided any guarantees as part of the program. The Company has no economic interest in our suppliers' decisions to participate in the program. The Company's responsibility is limited to making payment to the respective financial institution according to the terms originally negotiated with the supplier, regardless of whether the supplier elects to receive early payment from the financial institution. The payment terms we negotiate with our suppliers are consistent,

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

irrespective of whether a supplier participates in the program. Current payment terms with a majority of our suppliers are generally 60 days, which we deem to be commercially reasonable. Outstanding payment obligations under the supplier finance program are included in Accounts payable on the Consolidated Balance Sheets. The associated payments are included in operating activities within the Consolidated Statements of Cash Flows.

Impact of New Accounting Standards

Recently issued accounting pronouncements that are not yet effective and that were not discussed below are either inapplicable to the Company or, if applicable, the Company does not expect that they will have a material impact on consolidated results of operations, consolidated financial condition, or consolidated cash flows.

New Accounting Pronouncements – Issued

In December 2023, the Financial Accounting Standards Board (“FASB”) issued Accounting Standards Update (“ASU”) No. 2023-09, “Income Taxes (Topic 740): Improvements to Income Tax Disclosures,” which requires disclosures of disaggregated information about a reporting entity’s effective tax rate reconciliation as well as disclosures on income taxes paid by jurisdiction. ASU No. 2023-09 is effective for annual periods beginning after December 15, 2025. The guidance is required to be applied on a prospective basis, with the option to apply the standard retrospectively. Early adoption is permitted. The Company is evaluating the impact of the standard on our consolidated financial statement disclosures.

In September 2025, the FASB issued ASU No. 2025-06, “Intangibles – Goodwill and Other – Internal-Use Software (Subtopic 350-40): Targeted Improvements to the Accounting for Internal-Use Software,” which is intended to modernize internal-use software guidance by removing all references to project stages and by clarifying the thresholds entities apply to begin capitalizing costs. ASU No. 2025-06 is effective for fiscal years beginning after December 15, 2027, and interim periods within those annual reporting periods. Early adoption is permitted. The guidance can be applied on a prospective basis, a modified basis for in-process projects, or a retrospective basis. The Company is evaluating the impact of the standard on our consolidated financial statements.

(2) Acquisitions

The Company accounts for all business combinations using the acquisition method to record a new cost basis for the assets acquired and liabilities assumed. The difference between the purchase price and the fair value of the assets acquired and liabilities assumed has been recorded as goodwill in the financial statements. The results of operations are reflected in the consolidated financial statements of the Company from the dates of acquisition.

During the year ended January 3, 2026, ASH acquired additional PHCE businesses for consideration of \$10.1 million, prior to working capital adjustments. These acquisitions resulted in ASH recording \$9.1 million of goodwill.

In addition, during the year ended January 3, 2026, ARG acquired retail stores for consideration of \$10.2 million, prior to working capital adjustments. These acquisitions resulted in ARG recording \$5.3 million of goodwill. The goodwill is expected to be deductible for tax purposes.

During the year ended January 3, 2026, the Company acquired the land and building utilized for its warehouse and distribution operations located in Jackson County, Georgia. The property, which had previously been leased by the Company, was purchased from the landlord for total consideration of \$90.3 million.

(3) Receivables, net

The Company’s receivables consist primarily of trade receivables from customers for the sale of merchandise, services and equipment and receivables from the Company’s vendors for incentive and marketing programs.

Receivables, net include the following amounts:

	January 3, 2026	December 28, 2024
Trade	\$ 568.6	\$ 560.0
Vendor	131.4	120.2
Other	18.2	23.0
Notes receivable – current portion	38.7	35.5
Less allowance for doubtful accounts	(17.0)	(10.9)
Receivables, net	<u>\$ 739.9</u>	<u>\$ 727.8</u>

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

The components of changes to the Receivable allowance for doubtful accounts for the years ended January 3, 2026 and December 28, 2024 were as follows:

	January 3, 2026	December 28, 2024
Beginning balance	\$ 10.9	\$ 12.1
Charges to provision	10.0	1.6
Accounts written off, net of recoveries	(3.6)	(2.8)
Reclassification to Notes receivable allowance for doubtful accounts	(0.3)	-
Ending balance	<u>\$ 17.0</u>	<u>\$ 10.9</u>

(4) Inventories

Inventories consist of wholesale merchandise inventories held for sale to customers and retail merchandise inventory held for resale at ARG retail locations. Substantially all of the Company's wholesale inventories are valued on the LIFO method. The excess of replacement cost over the LIFO value of inventory was \$279.6 million and \$251.4 million at January 3, 2026 and December 28, 2024, respectively. Inventories at ARG retail locations are valued at the lower of cost or net realizable value. Inventory cost is determined using the moving average method, which approximates the FIFO method. The Company regularly reviews its inventory and establishes a reserve for excess and obsolete inventory based on a number of factors, including historical sales, sales forecasts, obsolescence due to technology changes and defective goods.

Inventories consisted of:

	January 3, 2026	December 28, 2024
Wholesale merchandise inventory (LIFO)	\$ 911.4	\$ 932.9
Retail merchandise inventory at ARG stores (FIFO)	289.4	265.0
Inventories	<u>\$ 1,200.8</u>	<u>\$ 1,197.9</u>

(5) Property and Equipment, net

Property and equipment, net is summarized as follows:

	January 3, 2026	December 28, 2024
Land	\$ 28.4	\$ 12.6
Buildings and improvements	395.4	285.5
Warehouse equipment	356.0	311.0
Computer hardware and software and other office equipment	608.9	564.5
Transportation equipment	46.8	46.1
Leasehold improvements	107.1	92.3
Assets under construction	79.9	76.4
Property and equipment, gross	1,622.5	1,388.4
Accumulated depreciation and amortization	(876.1)	(793.8)
Property and equipment, net	<u>\$ 746.4</u>	<u>\$ 594.6</u>

Depreciation and amortization expense related to property and equipment for fiscal years 2025, 2024 and 2023 was \$104.9 million, \$94.7 million and \$88.1 million, respectively.

(6) Leases

The Company leases certain warehouse and distribution space, office space, retail locations, equipment and vehicles under finance and operating leases.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

The components of total lease expense were as follows:

	Income Statement Classification	Years Ended	
		January 3, 2026	December 28, 2024
Finance lease amortization	Cost of revenues	\$ 46.2	\$ 32.9
Finance lease interest	Interest expense	5.9	3.7
Operating lease cost, net of sublease income	Cost of revenues, operating expenses	129.2	122.1
Short-term lease cost	Cost of revenues, operating expenses	7.7	8.0
Variable lease cost	Cost of revenues, operating expenses	37.4	29.3
Net lease cost		<u>\$ 226.4</u>	<u>\$ 196.0</u>

The future minimum undiscounted lease payments under operating and finance leases at January 3, 2026 are as follows:

Fiscal Year	Operating Leases	Finance Leases
2026	\$ 115.4	\$ 48.6
2027	107.9	41.1
2028	99.4	32.9
2029	90.1	28.9
2030	81.6	22.8
Thereafter	410.7	8.1
Total future undiscounted lease payments	905.1	182.4
Less imputed interest	(128.9)	(15.2)
Total reported lease liability	776.2	167.2
Less current portion	(102.5)	(43.4)
Long-term lease liabilities	<u>\$ 673.7</u>	<u>\$ 123.8</u>

The Company has excluded approximately \$57.1 million of payments (undiscounted basis) for leases that have not yet commenced. These leases will commence between the first and fourth quarters of 2026 with terms of up to fifteen years and include warehouse equipment and new stores for ARG.

Additionally, during the year ended January 3, 2026, the Company purchased the land and building utilized for its warehouse and distribution operations located in Jackson County, Georgia from the landlord, resulting in the removal of \$41.7 million of operating ROU assets and \$41.3 million of operating lease liabilities.

Other information related to operating and finance leases was as follows:

	January 3, 2026	December 28, 2024
Cash paid for amounts included in the measurement of lease liabilities:		
Operating cash flows from operating leases	\$ (126.7)	\$ (115.9)
Operating cash flows from finance leases	\$ (46.8)	\$ (36.4)
Lease assets obtained in exchange for new lease liabilities:		
Operating leases	\$ 57.3	\$ 230.9
Finance leases	\$ 31.1	\$ 93.9
Weighted average remaining lease term for operating leases	9.8 years	9.9 years
Weighted average discount rate for operating leases	2.96%	2.60%
Weighted average remaining lease term for finance leases	4.6 years	4.9 years
Weighted average discount rate for finance leases	3.73%	3.48%

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

(7) Notes Receivable, net

The Company makes available to its Retailers various lending programs whose terms exceed one year. At January 3, 2026 and December 28, 2024, the outstanding balance of the notes was \$50.7 million and \$36.8 million, respectively, of which the current portion of \$38.7 million and \$35.5 million, respectively, was recorded in Receivables, net and the long-term portion of \$8.6 million and \$1.3 million, respectively, was recorded in Other assets.

	January 3, 2026	December 28, 2024
Notes receivable, gross	\$ 90.8	\$ 74.6
Less accrued patronage to be applied	(40.1)	(37.8)
Net of accrued patronage	50.7	36.8
Less current portion of notes receivable included in Receivables, net	(38.7)	(35.5)
Less allowance for doubtful accounts	(3.4)	-
Notes receivable, net	<u>\$ 8.6</u>	<u>\$ 1.3</u>

For substantially all of the Company's Notes receivable, the amounts due are generally expected to be collected through the non-cash portion of the following year's annual patronage distribution and are therefore classified as current. In the event a Retailer cancels its membership with the Company, any outstanding loans are transferred from Notes receivable to Trade receivables and are due immediately. As the non-cash portion of the patronage distribution is used to settle the Notes receivable, there are no loans that are currently past due. The patronage distribution for each Retailer can vary from year to year based on the Company's financial performance, as well as the volume of patronage-based merchandise that each Retailer purchases from the Company. The contractual maturities of the Notes Receivable, before consideration of patronage deductions to be applied are as follows:

	January 3, 2026	December 28, 2024
0 – 4 years	\$ 28.1	\$ 25.5
5 – 8 years	36.0	27.1
9 – 10 years	26.7	22.0
Total	<u>\$ 90.8</u>	<u>\$ 74.6</u>

The Company evaluates risk on its loan portfolio by categorizing each loan into an internal risk category. The Company's risk categories include:

Low – The Retailer possesses a strong financial position, above average payment record to both Ace and other vendors, and the business is well established.

Moderate – The Retailer possesses an average financial position, an average payment record to both Ace and other vendors, and the business is somewhat established.

High – The Retailer possesses a weak financial position, a substandard payment record to Ace or other vendors, or the business is somewhat new.

Based upon these criteria, the Company has classified its loan portfolio as follows:

	January 3, 2026	December 28, 2024
Corporate Credit Exposure:		
Low risk	\$ 31.4	\$ 29.1
Moderate risk	32.8	27.1
High risk	26.6	18.4
Total	<u>\$ 90.8</u>	<u>\$ 74.6</u>

Pursuant to the Company's Amended and Restated Certificate of Incorporation and the Company's by-laws, notes receivable (like all obligations owed to the Company by the Company's Retailers) are secured by the Company stock owned by the Retailers. For this reason, as well as the fact that substantially all of the notes receivable are repaid from the following year's annual patronage distribution, the actual risk of collection is low for the notes receivable portfolio despite many Retailers being classified as Moderate and High risk.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

The Company applies a consistent practice of establishing an allowance for notes that it feels may become uncollectible by monitoring the financial strength of its Retailers. The collectability of certain notes is evaluated on an individual basis, while the remaining notes are evaluated on a collective basis. Due to the nature of the notes and the collateral held by the Company, virtually all outstanding notes were collectively evaluated for impairment.

The Company has evaluated the collectability of the notes and has established an allowance for doubtful accounts of \$3.4 million and \$2.0 million for January 3, 2026 and December 28, 2024, respectively. The allowance at December 28, 2024 was reclassified as a component of Receivables, net as the notes being reserved against were classified as short-term. As of January 3, 2026, \$0.3 million of the allowance was a reclassification from Receivables, net as these notes being reserved against were classified as long-term. Management records the allowance for doubtful accounts based on the above information as well as judgments made considering a number of factors, primarily historical collection statistics, current Retailer credit information, the current economic environment and the offsetting amounts due to Retailers for stock, notes, interest and declared and unpaid patronage distributions. The components of changes to the Notes receivable allowance for doubtful accounts for 2025 and 2024 were as follows:

	January 3, 2026	December 28, 2024
Beginning balance	\$ -	\$ 1.6
Charges to provision	1.1	0.4
Reclassifications from (to) Receivables, net	2.0	(2.0)
Reclassifications from Accounts receivable allowance for doubtful accounts	0.3	-
Ending balance	\$ 3.4	\$ -

Notes bear interest at various rates and are recorded at face value. Interest is recognized over the life of the note based on the outstanding balance and stated interest rate, which approximates the effective interest method. During fiscal years 2025, 2024 and 2023, \$6.1 million, \$5.9 million and \$4.6 million, respectively, were recorded as interest income related to the notes.

Generally, in the event a Retailer cancels their membership with the Company, any outstanding Notes receivable, and related allowance for doubtful accounts, are transferred to trade receivables and the Retailer is billed for any unpaid principal and interest balances. In fiscal 2025 and 2024, \$17.4 million and \$14.5 million, respectively, of Notes receivable were transferred to Trade receivables as an event occurred which made the notes due immediately.

(8) Goodwill and Other Intangible Assets

Changes in the carrying value of goodwill were as follows:

Balance at December 30, 2023	\$ 373.3
Purchase accounting adjustments	3.4
Acquired goodwill	46.3
Balance at December 28, 2024	\$ 423.0
Purchase accounting adjustments	(2.0)
Acquired goodwill (See Note 2 for additional details)	14.4
Balance at January 3, 2026	\$ 435.4

Impairment exists when a reporting unit's carrying value exceeds its fair value. The Company tests reporting units for impairment annually as of the first day of the fourth quarter, or more frequently if events or circumstances indicate it is more likely than not that the fair value of a reporting unit is less than its carrying value.

Identifiable intangible assets were as follows:

	January 3, 2026	December 28, 2024
Trademarks and tradenames	\$ 9.2	\$ 9.2
Customer relationships	39.1	39.1
Total identifiable intangible assets, gross	48.3	48.3
Less accumulated amortization	(19.0)	(15.7)
Identifiable intangible assets, net	\$ 29.3	\$ 32.6

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

The trademarks and tradenames are being amortized over 2-20 years. The customer relationships are being amortized over 10 years. Net amortization expense related to all intangible assets was \$3.7 million, \$5.0 million and \$3.8 million for fiscal years 2025, 2024 and 2023, respectively. The estimated total amortization expense over the next five fiscal years is \$18.6 million.

(9) Patronage Distributions and Refund Certificates Payable

The Company operates as a cooperative organization and has paid or may pay patronage distributions to Retailers on a portion of patronage-based income derived from business with such Retailers. Patronage distributions are allocated in proportion to the volume of purchases by Retailers during the period. The cash portion of the patronage distribution was 40 percent for all years presented.

The accrued patronage distributions composition is summarized as follows:

	Years Ended		
	January 3, 2026	December 28, 2024	December 30, 2023
Cash portion	\$ 139.0	\$ 137.2	\$ 137.1
Class C stock	81.5	82.5	89.7
Patronage refund certificates	74.3	73.5	68.9
Patronage financing deductions	44.8	42.4	40.0
Total patronage distributions accrued for third party Retailers	<u>\$ 339.6</u>	<u>\$ 335.6</u>	<u>\$ 335.7</u>

Patronage distributions are allocated on a fiscal year basis with issuance in the following year.

In those instances where the Class C stock requirements have been met, the non-cash portion of the patronage distribution is distributed in the form of patronage refund certificates with a five-year term and bearing interest at 4 percent.

The patronage refund certificates outstanding at January 3, 2026 are payable as follows:

2026	\$ 24.3
2027	40.8
2028	66.8
2029	68.6
2030	74.3
Total patronage refund certificates payable	274.8
Less current portion	(24.3)
Long-term patronage refund certificates payable	<u>\$ 250.5</u>

(10) Accrued Expenses

Accrued expenses include the following components:

	January 3, 2026	December 28, 2024
Salaries and wages	\$ 105.9	\$ 95.2
Insurance reserves	34.5	34.5
Deferred income	10.1	8.3
Vendor funds	19.2	16.7
Taxes	28.8	25.3
Profit sharing	24.4	23.7
Gift card	30.0	25.9
Interest	11.1	9.3
Advertising and marketing	25.2	26.5
Other	48.5	47.7
Accrued expenses	<u>\$ 337.7</u>	<u>\$ 313.1</u>

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

(11) Debt

The Company has a \$1.1 billion line of credit facility. The facility is expandable to \$1.4 billion through a \$300.0 million accordion that is exercisable without the consent of existing lenders provided that the Company is not in default of the credit agreement and further provided that none of the existing lenders are required to provide any portion of the increased facility. At the Company's discretion, borrowings under the credit facility bear interest at a rate of either 25 to 100 basis points over the prime rate or 125 to 200 basis points over the Secured Overnight Financing Rate ("SOFR"), depending on the Company's leverage ratio. The credit facility was priced at SOFR plus 150 basis points at January 3, 2026. Fees on the unused portion of the line of credit range from 17.5 to 27.5 basis points depending on the Company's leverage ratio. The credit facility expires on January 24, 2028. As of January 3, 2026, the Company was in compliance with its covenants and had \$374.5 million in borrowings outstanding under the credit facility.

The credit facility includes a \$175.0 million sublimit for the issuance of standby and commercial letters of credit. As of January 3, 2026, a total of \$38.9 million in letters of credit were outstanding.

The credit facility allows the Company to make revolving loans and other extensions of credit to AIH in an aggregate principal amount not to exceed \$100.0 million at any time. As of January 3, 2026, there were \$11.0 million in loans or other extensions of credit provided to AIH.

The Company's Westlake subsidiary had a \$125.0 million asset-based revolving credit facility ("Westlake Facility") that was scheduled to expire on August 3, 2026. On January 1, 2026, the facility was amended to accommodate the merger of the Company's Westlake and GLA subsidiaries, and the name change of the combined entity to ARG. In addition, the maximum borrowing capacity was increased to \$175 million and the due date was extended to December 31, 2030. The facility is expandable to \$200.0 million through a \$25.0 million accordion that is exercisable without the consent of existing lenders provided that the Company is not in default of the credit agreement and further provided that none of the existing lenders are required to provide a portion of the increased facility. Under this facility, ARG has the right to issue letters of credit up to a maximum of \$7.5 million. Borrowings under this facility bear interest at a rate of either the prime rate plus an applicable spread of 25 to 50 basis points or SOFR plus an applicable spread of 125 to 150 basis points, depending on ARG's average availability under the ARG Facility as measured on a trailing 12-month basis. The ARG Facility was priced at SOFR plus 125 basis points at January 3, 2026.

The ARG Facility is collateralized by substantially all of ARG's tangible and intangible assets. Borrowings under the facility are subject to a borrowing base calculation consisting of certain advance rates applied to eligible collateral balances (primarily consisting of certain receivables and inventories). This agreement requires maintenance of certain financial covenants including a minimum fixed charge coverage ratio. As of January 3, 2026, ARG was in compliance with its covenants and had \$41.8 million in borrowings outstanding under the ARG Facility.

The ARG Facility includes a lender-controlled cash concentration system that results in all of ARG's daily available cash being applied to the outstanding borrowings under their facility. Pursuant to Financial Accounting Standards Board ("FASB") Accounting Standards Codification Section 470-10-45, "Classification of Revolving Credit Agreements Subject to Lock-Box Arrangements and Subjective Acceleration Clauses," all borrowings under the ARG Facility are classified as a Current maturity of long-term debt.

Total debt outstanding is comprised of the following:

	January 3, 2026	December 28, 2024
Revolving Credit Facility	\$ 374.5	\$ 216.5
ARG Facility	41.8	60.1
Installment notes with maturities through 2029 at a fixed rate of 6.00%	50.9	50.5
Total debt	467.2	327.1
Less maturities within one year	(63.4)	(80.6)
Long-term debt	<u>\$ 403.8</u>	<u>\$ 246.5</u>

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

The aggregate scheduled maturities of total debt at January 3, 2026 are as follows:

Fiscal Year	Amount
2026	\$ 63.4
2027	14.4
2028	389.4
Total debt	<u>\$ 467.2</u>

(12) Commitments and Contingencies

Contingencies

The Company has certain contingent liabilities resulting from litigation and claims incident to the ordinary course of business. Management believes that the probable resolution of such contingencies will not materially affect the financial position, results of operations, or liquidity of the Company. The Company expenses legal fees as they are incurred.

Other guarantees

In the normal course of business, the Company enters into commercial commitments including standby letters of credit and guarantees that could become contractual obligations. Letters of credit are issued generally to insurance agencies and financial institutions in direct support of the Company's corporate and Retailer insurance programs. As of January 3, 2026, the Company had outstanding standby letters of \$38.9 million issued by the Company's credit facility.

The Company maintains the Ace Hardware Corporation Cooperative Group Health Plan ("AHP"), which is a MEWA that provides medical insurance and other welfare benefits to employees of the Company and their families and employees and families of participating Retailers.

The AHP is insured by Ace Group Insurance, Inc. ("AGI"), a Vermont-based captive insurance company. AGI is owned by a funded welfare trust ("Trust") that serves as the mechanism for the AHP to collect, hold, invest and pay funds deposited with the AHP for the conduct of AHP operations. The Trust is not owned by the Company or any of its subsidiaries.

The Company maintains a \$15.0 million standby letter of credit in favor of AGI. The letter of credit is held by the Vermont Department of Financial Regulations ("VDFR") and can be drawn upon at VDFR's direction if AGI becomes illiquid. The Company believes that the likelihood of the letter of credit being drawn is remote.

(13) Fair Value

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability (an exit price) in the principal or most advantageous market for the asset or liability in an orderly transaction between market participants on the measurement date. There is a three-level hierarchy for disclosure to show the extent and level of judgment used to estimate fair value measurements.

Level 1 – Investments included in this category are the Company's Fixed income mutual funds, Equity mutual funds, Money market funds and U.S. government notes. The Company's valuation techniques used to measure the fair values of Level 1 investments are derived from quoted market prices for identical instruments, as active markets for these instruments exist. The Company has classified its investments used to support the Company's deferred compensation plan as Other assets as these investments are restricted solely for this purpose.

Level 2 – Investments included in this category are the Company's Corporate fixed income securities, Mortgage-backed securities and Other debt securities. Other debt securities primarily consist of taxable municipal bonds, corporate asset-backed securities, and U.S. Agency fixed rate notes and bonds. The Company's valuation techniques used to measure the fair values of Level 2 securities are derived from the following: non-binding market consensus prices that are corroborated by observable market data, quoted market prices for similar instruments, or pricing models, such as discounted cash flow techniques, with all significant inputs derived from or corroborated by observable market data.

Level 3 – Uses inputs that are unobservable and are supported by little or no market activity and reflect the use of significant management judgment. These values are generally determined using pricing models for which the assumptions utilize management's estimates of market participant assumptions.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

The tables below set forth, by level, the Company's financial assets that were accounted for at fair value as of January 3, 2026 and December 28, 2024. The tables do not include cash on hand and also do not include assets and liabilities that are measured at historical cost or any basis other than fair value. The carrying values for other current financial assets and liabilities, such as accounts receivable and accounts payable, approximate fair value due to the short maturity of such instruments. Long-term notes receivable approximate fair value because the Company charges its Retailers interest and a significant portion of the notes have the Company's stock as collateral.

Items measured at fair value on a recurring basis	Carrying Value Measured at Fair Value			
	January 3, 2026	Level 1	Level 2	Level 3
Assets:				
Cash equivalents:				
Money market funds	\$ 8.7	\$ 8.7	\$ -	\$ -
Marketable securities:				
Corporate fixed income securities	\$ 16.8	\$ 5.2	\$ 11.6	\$ -
Mortgage-backed securities	10.6	-	10.6	-
U.S. government notes	7.4	7.4	-	-
Other	5.7	-	5.7	-
Total marketable securities	<u>\$ 40.5</u>	<u>\$ 12.6</u>	<u>\$ 27.9</u>	<u>\$ -</u>
Other assets:				
Money market funds	\$ 1.4	\$ 1.4	\$ -	\$ -
Fixed income mutual funds	19.5	19.5	-	-
Equity mutual funds	20.0	20.0	-	-
Total other assets	<u>\$ 40.9</u>	<u>\$ 40.9</u>	<u>\$ -</u>	<u>\$ -</u>

Items measured at fair value on a recurring basis	Carrying Value Measured at Fair Value			
	December 28, 2024	Level 1	Level 2	Level 3
Assets:				
Cash equivalents:				
Money market funds	\$ 2.7	\$ 2.7	\$ -	\$ -
Marketable securities:				
Corporate fixed income securities	\$ 15.3	\$ -	\$ 15.3	\$ -
Mortgage-backed securities	11.3	-	11.3	-
U.S. government notes	8.7	8.7	-	-
Other	7.4	-	7.4	-
Total marketable securities	<u>\$ 42.7</u>	<u>\$ 8.7</u>	<u>\$ 34.0</u>	<u>\$ -</u>
Other assets:				
Money market funds	\$ 2.7	\$ 2.7	\$ -	\$ -
Fixed income mutual funds	15.5	15.5	-	-
Equity mutual funds	15.7	15.7	-	-
Total other assets	<u>\$ 33.9</u>	<u>\$ 33.9</u>	<u>\$ -</u>	<u>\$ -</u>

The fair value of the Company's debt and equity securities exceeded cost by \$7.9 million and \$1.5 million at January 3, 2026 and December 28, 2024, respectively. The realized and unrealized gains and losses on equity securities are recorded to Other income, net and the realized gain or loss on debt securities are recorded in the period in which the gain or loss occurs to Other income, net in the Consolidated Statement of Income. Unrealized gains and losses on debt securities are recorded as a component of Other comprehensive income (loss), net of tax. The Company has not recorded an allowance due to the unrealized losses being driven by the market factors related to fluctuating interest rates as opposed to credit factors. All debt securities are expected to reach par value at their maturity dates.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

Gross proceeds from the sale of money market, debt and equity securities and the related realized gains and losses for the fiscal years ended January 3, 2026, December 28, 2024, and December 30, 2023 were as follows:

	Years Ended		
	January 3, 2026	December 28, 2024	December 30, 2023
Gross proceeds	\$ 9.8	\$ 30.0	\$ 43.2
Gross realized gains	0.2	0.3	0.5
Gross realized losses	(0.1)	(0.8)	(1.2)

Gross realized gains and losses were determined using the specific identification method. For the fiscal year ended January 3, 2026, the Company reclassified \$0.2 million of unrealized gains and \$0.1 million of unrealized losses on marketable securities that were recorded in AOCI as of December 28, 2024 into realized income. These amounts were recorded to Other income, net in the Consolidated Statements of Income.

The following table summarizes the contractual maturity distributions of the Company's debt securities at January 3, 2026. Actual maturities may differ from the contractual or expected maturities since borrowers may have the right to prepay obligations with or without prepayment penalties.

Fair value of available-for-sale debt securities	Due in One Year or Less	Due After One Year through Five Years	Due After Five Years through Ten Years	Due After Ten Years	Total
Corporate fixed income securities	\$ 5.2	\$ 3.4	\$ 3.7	\$ 4.5	\$ 16.8
Mortgage-backed securities	-	-	-	10.6	10.6
U.S. government notes	1.9	4.8	0.6	0.1	7.4
Other	-	1.3	1.0	3.4	5.7
Total	\$ 7.1	\$ 9.5	\$ 5.3	\$ 18.6	\$ 40.5

The Company's debt instruments are recorded at cost on the Consolidated Balance Sheets. The fair value of the Company's debt approximated carrying value at January 3, 2026. The estimated fair value of long-term debt is based on estimated rates for similar instruments and discounted cash flow analysis using the Company's weighted-average interest rate and is, therefore, classified as Level 3 within the fair value hierarchy.

(14) Income Taxes

Income tax benefit (expense) includes the following components:

	Years Ended		
	January 3, 2026	December 28, 2024	December 30, 2023
Current:			
Federal	\$ 0.5	\$ (0.4)	\$ 0.1
State	(0.6)	(0.9)	(0.9)
Foreign	(0.9)	(1.7)	(1.2)
Current income tax expense	(1.0)	(3.0)	(2.0)
Deferred:			
Federal	1.3	4.3	0.9
State	0.7	1.0	0.1
Deferred income tax benefit	2.0	5.3	1.0
Total income tax benefit (expense)	\$ 1.0	\$ 2.3	\$ (1.0)

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

Income tax differs from the amount computed by applying the statutory U.S. Federal income tax rate of 21 percent for fiscal years ended January 3, 2026, December 28, 2024 and December 30, 2023 to pre-tax income because of the effect of the following items:

	Years Ended		
	January 3, 2026	December 28, 2024	December 30, 2023
Expected tax at U.S. Federal income tax rate	\$ (61.4)	\$ (65.5)	\$ (68.1)
Patronage distribution deductions	71.3	70.5	70.5
Other, net expense	(8.9)	(2.7)	(3.4)
Income tax benefit (expense)	<u>\$ 1.0</u>	<u>\$ 2.3</u>	<u>\$ (1.0)</u>

Deferred income taxes reflect the tax effects of temporary differences between the carrying amounts of existing assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax assets and liabilities are as follows:

	January 3, 2026	December 28, 2024
Deferred tax assets:		
Foreign tax credits and other tax credit carryforwards	\$ 9.6	\$ 11.7
Net operating loss carryforwards	52.1	35.8
Unearned insurance premium and loss reserves	2.1	1.9
Allowance for doubtful accounts	3.3	2.3
Inventory reserves	4.0	4.7
Deferred vendor rebates	17.0	17.7
Accrued compensation and benefits expense	28.1	25.3
Net unrealized losses	-	0.4
Leased assets	7.6	6.8
Other reserves	6.1	5.1
Total deferred tax assets	129.9	111.7
Less valuation allowance	(29.3)	(18.8)
Deferred tax assets	<u>100.6</u>	<u>92.9</u>

Deferred tax liabilities:		
Depreciation and deferred gains on property and equipment	23.9	25.1
Amortization of intangibles	12.6	8.0
Net unrealized gains	3.0	-
Prepaid expenses and deferred income	6.0	5.9
Inventory valuation	16.7	16.7
Deferred tax liabilities	62.2	55.7
Net deferred tax assets	<u>\$ 38.4</u>	<u>\$ 37.2</u>

Net deferred tax assets are included in Other assets on the Consolidated Balance Sheets.

At January 3, 2026, the Company has federal and state net operating loss carryforwards of \$258.6 million available for offset against future taxable income. The federal net operating loss can be carried forward indefinitely. For those states not conforming to the indefinite federal carryforward provisions, the state net operating losses can, generally, be carried forward through the 2045 tax year. A valuation allowance of \$2.2 million has been established against the federal and state net operating losses as it is more likely than not that the benefit of the net operating losses will not be realized.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

At January 3, 2026, the Company has foreign net operating loss carryforwards of \$69.1 million available for offset against future taxable income. A valuation allowance of \$18.4 million has been established against the foreign net operating losses as it is more likely than not that the benefit of the net operating losses will not be realized.

At January 3, 2026, the Company has foreign tax credits and general business tax credits of \$4.2 million available to offset future tax expense. The foreign tax credits may be carried forward through the 2035 tax year. A valuation allowance of \$3.3 million has been established against the foreign tax credits as it is more likely than not that the benefit of the federal tax credits will not be realized.

At January 3, 2026, the Company has state tax credit carryforwards of \$5.4 million available to offset future state income tax expense. The state tax credits may be carried forward to tax years 2026 through 2027. A valuation allowance of \$5.4 million has been established against certain state tax credits as it is more likely than not that the benefit of the tax credits will not be realized.

The federal income tax returns of the consolidated group are subject to examination by the Internal Revenue Service (“IRS”), generally for three years after the returns are filed. The 2021 through 2025 tax years remain subject to examination by the IRS. For state purposes, the 2020 through 2025 tax years remain subject to examination.

The Company recognizes interest and penalties related to uncertain tax positions in Income tax expense. Accrued interest and penalties included in the reserve for uncertain tax positions and recognized in income tax expense are immaterial. It is reasonably possible that the total amount of unrecognized tax benefits will increase or decrease within the next twelve months. The Company currently estimates that such increases and decreases will not be significant.

(15) Capital Stock

The Company’s classes of stock are described below (not in millions):

	Number of Shares at	
	January 3, 2026	December 28, 2024
Class A stock, voting, redeemable at par value:		
Authorized	10,000	10,000
Issued and outstanding	2,586	2,586
Class C stock, nonvoting, redeemable at not less than par value:		
Authorized	20,000,000	20,000,000
Issued and outstanding	7,757,661	7,528,693
Issuable as patronage distributions	815,156	825,206

No dividends can be declared on any shares of any class of the Company’s stock.

Upon termination of the Company’s membership agreement with any retail outlet, all shares of stock of the Company held by the Retailer owning or controlling such outlet must be sold back to the Company, unless a transfer of such shares is made to another party accepted by the Company as a Retailer with respect to the same outlet. A single Class A share is issued to a Retailer only when the share subscribed has been fully paid and Class C shares are issued only when all shares subscribed with respect to a retail outlet have been fully paid. Additional stock subscribed in the accompanying consolidated financial statements represents the paid portion of stock subscribed for stores that have not opened. All shares of stock are currently issued and repurchased at par value.

(16) Retirement Plans

The Company and its subsidiaries maintain profit sharing and 401k retirement plans for substantially all employees. Amounts expensed under these plans totaled \$48.0 million, \$46.2 million and \$46.6 million during fiscal 2025, 2024 and 2023, respectively.

ACE HARDWARE CORPORATION
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS – (Continued)
(In millions)

(17) Supplemental Disclosures of Cash Flow Information

During fiscal 2025, 2024 and 2023, accrued patronage distributions of \$50.4 million, \$60.4 million and \$42.2 million, respectively, were offset against Trade receivables and Notes receivable owed to the Company by its Retailers with no net impact in the Consolidated Statements of Cash Flows. In addition, the Company had \$4.6 million in patronage refund certificates which were included in Accounts payable pending payment as of January 3, 2026 and had no net impact in the Consolidated Statements of Cash Flows.

During fiscal 2025, 2024 and 2023, non-cash repurchases of stock from Retailers of \$40.9 million, \$44.4 million and \$39.7 million, respectively, were offset against Trade receivables of \$8.0 million, \$4.1 million and \$5.2 million, respectively, and Notes receivable of \$10.1 million, \$14.9 million and \$8.5 million, respectively. The remaining \$22.8 million, \$25.4 million and \$26.0 million, respectively, were primarily issued as notes payable with no net impact in the Consolidated Statements of Cash Flows.

The Company received \$6.8 million, \$6.9 million and \$9.8 million of property and equipment for fiscal years 2025, 2024 and 2023, respectively, prior to year-end and accrued for these items as no cash payments were made. These capital expenditures were not included in the Purchases of property and equipment in the Consolidated Statement of Cash Flows for fiscal years 2025, 2024 and 2023. The Company paid \$6.9 million, \$9.8 million and \$11.3 million for property and equipment for fiscal years 2025, 2024 and 2023 that was purchased and accrued during the years ended December 28, 2024, December 30, 2023 and December 31, 2022. These capital expenditures were included in the Purchases of property and equipment in the Consolidated Statement of Cash Flows for fiscal years 2025, 2024 and 2023.

MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion and analysis summarizes the significant factors affecting Ace Hardware Corporation's ("the Company's") consolidated operating results and financial condition during the three-year period ended January 3, 2026 (the Company's fiscal years 2025, 2024 and 2023). Fiscal year 2025 contains 53 weeks of operating results and fiscal years 2024 and 2023 contain 52 weeks of operating results. Unless otherwise noted, all references herein for the years 2025, 2024 and 2023 represent fiscal years ended January 3, 2026, December 28, 2024 and December 30, 2023, respectively. This discussion and analysis should be read in conjunction with the consolidated financial statements and the related notes included in this annual report that have been prepared in accordance with U.S. generally accepted accounting principles ("GAAP").

Company Overview

The Company is a wholesaler of hardware and other related products and provides services and best practices for its member Retailers ("Retailers"). The overall home improvement industry is estimated to be approximately \$531 billion and consists of a broad range of products and services, including lawn and garden products, paint and sundries, certain building supplies and general merchandise typically used in connection with home and property improvement, remodeling, repair and maintenance. The industry is fragmented and competition exists between the large home improvement centers, retail hardware stores and other chains offering hardware merchandise. In addition, we face growing competition from online and multichannel retailers.

The Company's Retailers generally compete in the \$61.6 billion "convenience hardware" segment which is characterized by purchases primarily of products related to home maintenance and repair, including paint and related products, lawn and garden equipment, and those products less focused on large-scale building, renovation and remodeling projects. The Company believes that the following competitive strengths distinguish it from its peers and contribute to its success in the convenience hardware market: (1) strong consumer recognition of the Ace Brand; (2) well-regarded for exceptional customer service and convenience; (3) strength of distribution operations; (4) consolidated purchasing power; (5) differentiated and localized product and service offerings; and (6) a diversified network of independent retailers.

The Company strives to be the best provider of products, services and operating methods for convenience hardware retailers. The four main drivers that support that goal and the Company's efforts to grow the business are improving the store model, accelerating new store openings, increasing store projects that drive store sales and profitability and reducing the number of store closings.

Ace International Hardware Corporation ("AIH"), is a majority-owned and controlled subsidiary of the Company with a 20.5 percent noncontrolling interest held by AIH customers. AIH shareholders do not own shares of stock in the Company nor receive patronage dividends. AIH has wholesale distribution capabilities in Ningbo, China and Cuautitlán Izcalli, Mexico. AIH customers operate 573 stores in approximately 50 countries.

Ace Retail Holdings LLC ("ARH") is the owner of the 189-store Westlake Ace Hardware ("Westlake") and the 79-store Great Lakes Ace Hardware ("GLA") retail chains. On December 31, 2025, Westlake and GLA were merged into a newly formed entity, Ace Retail Group, Inc. ("ARG"). Following the merger, ARH is the owner of ARG, which serves as the operating company for the combined retail operations. ARG is a retailer of hardware, paint and other related products.

Ace Wholesale Holdings LLC ("AWH") owns and operates Emery Jensen Distribution ("EJD"). EJD is a wholesaler of hardware, paint and other related products to non-member retailers.

Ace Services Holdings LLC ("ASH"), through its subsidiaries, operates Ace Hardware Home Services ("AHHS"), a provider of residential plumbing, heating, cooling and electric ("PHCE") services, and Ace Handyman Services, a franchisor of home improvement, maintenance and repair services.

Worldwide Store Count

The number of worldwide Ace retail outlets during the past three fiscal years is summarized as follows:

	Fiscal Years		
	2025	2024	2023
Retail outlets at beginning of period	5,966	5,870	5,746
New retail outlets	185	230	222
Retail outlet cancellations	(328)	(134)	(98)
Retail outlets at end of period	5,823	5,966	5,870

Worldwide Customer Count

The number of wholesale customers served worldwide during the past three fiscal years is summarized as follows:

	Fiscal Years		
	2025	2024	2023
Ace retail outlets	5,823	5,966	5,870
Non-member outlets	3,022	2,994	2,985
Total outlets served at end of period	8,845	8,960	8,855

Results of Operations

Comparison of the Year Ended January 3, 2026 to the Year Ended December 28, 2024

The following data summarizes the Company's performance in fiscal 2025 as compared to fiscal 2024 (in millions):

	2025		2024		Favorable/ (Unfavorable)	
	\$	% of Revenues*	\$	% of Revenues*	\$	%
Revenues:						
Wholesale revenues	9,159.0	91.2%	8,666.0	91.3%	493.0	5.7%
Retail revenues	884.6	8.8%	825.4	8.7%	59.2	7.2%
Total revenues	10,043.6	100.0%	9,491.4	100.0%	552.2	5.8%
Gross profit:						
Wholesale gross profit	1,268.0	13.8%	1,170.4	13.5%	97.6	8.3%
Retail gross profit	405.0	45.8%	374.7	45.4%	30.3	8.1%
Total gross profit	1,673.0	16.7%	1,545.1	16.3%	127.9	8.3%
Operating expenses:						
Wholesale operating expenses	1,019.6	11.1%	925.3	10.7%	(94.3)	(10.2%)
Retail operating expenses	331.4	37.5%	297.7	36.1%	(33.7)	(11.3%)
Retail pre-opening expenses	2.2	0.2%	4.8	0.6%	2.6	54.2%
Total operating expenses	1,353.2	13.5%	1,227.8	12.9%	(125.4)	(10.2%)
Operating income	319.8	3.2%	317.3	3.4%	2.5	0.8%
Interest expense	(57.0)	(0.6%)	(48.9)	(0.6%)	(8.1)	(16.6%)
Other income, net	35.7	0.4%	46.6	0.5%	(10.9)	23.4%
Net income attributable to Ace Hardware Corporation	298.5	3.0%	315.0	3.3%	(16.5)	(5.2%)

*Wholesale gross profit and expenses are shown as a percentage of wholesale revenues. Retail gross profit and expenses are shown as a percentage of retail revenues. Non-operating items are shown as a percentage of total revenues.

A reconciliation of consolidated revenues follows (in millions):

	Amount	% Change vs. 2024
2024 Revenues	\$ 9,491.4	
<i>Wholesale Merchandise Revenues change based on new and cancelled domestic Ace stores:</i>		
Revenues increase from new stores added since January 2024	260.5	2.7%
Revenues decrease from stores cancelled since January 2024	(44.2)	(0.5%)
Increase in wholesale merchandise revenues to comparable domestic Ace stores	81.3	0.9%
Increase in wholesale service revenues from domestic Ace stores	41.3	0.4%
Increase in AWH wholesale revenues	104.6	1.1%
Decrease in AIH wholesale revenues	(38.9)	(0.4%)
Increase in ASH service revenues	22.1	0.2%
Increase in Acehardware.com revenues	103.1	1.1%
Increase in ARG retail revenues	59.2	0.6%
Other revenue changes, net	(36.8)	(0.3%)
2025 Revenues	\$ 10,043.6	5.8%

Consolidated revenues for the year ended January 3, 2026 totaled \$10.0 billion, an increase of \$552.2 million, or 5.8 percent, as compared to the prior year. Fiscal 2025 consisted of 53 weeks compared to 52 weeks in fiscal 2024. The 53rd week added \$119.4 million in sales. Excluding the 53rd week, sales increased \$432.8 million or 4.6 percent compared to fiscal 2024.

Total wholesale revenues were \$9.2 billion for fiscal 2025, an increase of \$493.0 million or 5.7 percent, as compared to the prior year. Increases were seen across many departments with lawn and garden, impulse, fertilizer, grilling and power tools showing the largest gains. New domestic Ace stores are defined as stores that were activated from January 2024 through December 2025. In 2025, the Company had an increase in wholesale merchandise revenues from new domestic Ace stores of \$260.5 million. This increase was partially offset by a decrease in wholesale merchandise revenues due to domestic Ace store cancellations of \$44.2 million. As a result, the Company realized a net increase in wholesale merchandise revenues of \$216.3 million related to the impact of both new Ace stores affiliated with the Company and from stores that cancelled their membership in 2024 and 2025. Wholesale merchandise revenues to comparable domestic Ace stores increased \$81.3 million compared to the prior year. Warehouse sales represented 76.5 percent of wholesale merchandise revenue in 2025 compared to 77.2 percent in 2024, while direct ship sales were 23.5 percent, up from 22.8 percent in 2024.

AWH wholesale revenues were \$585.1 million during fiscal 2025. This is an increase of \$104.6 million from fiscal 2024, which was primarily due to higher sales to pro lumber, hardware, and digital customers.

AIH wholesale revenues were \$176.1 million during fiscal 2025. This is a decrease of \$38.9 million from fiscal 2024 primarily due to the loss of what had been AIH's largest customer.

ASH wholesale revenues were \$193.9 million during fiscal 2025. This is an increase of \$22.1 million from fiscal 2024.

Revenues from Acehardware.com were \$485.4 million during fiscal 2025. This is an increase of \$103.1 million from fiscal 2024.

Total retail revenues from ARG were \$884.6 million, an increase of \$59.2 million, or 7.2 percent, as compared to the prior year. The GLA chain experienced a 3.6 percent increase in same-store-sales, while the Westlake chain experienced a 0.2 percent decrease in same-store-sales in fiscal 2025. The new stores opened by ARG in 2024 and 2025 contributed \$54.5 million of incremental revenues during fiscal 2025.

Wholesale gross profit for fiscal 2025 was \$1.3 billion, an increase of \$97.6 million from fiscal 2024. The wholesale gross margin percentage was 13.8 percent of wholesale revenues in fiscal 2025, up from 13.5 percent in fiscal 2024.

Retail gross profit for fiscal 2025 was \$405.0 million, an increase of \$30.3 million from fiscal 2024. The retail gross margin percentage was 45.8 percent of retail revenues in fiscal 2025, up from 45.4 percent in fiscal 2024. For ARG, retail gross profit as reported in the Ace financial statements is based on the Ace wholesale acquisition cost of product, not ARG's acquisition cost which includes a markup from the Company.

Wholesale operating expenses increased \$94.3 million, or 10.2 percent in fiscal 2025, as compared to fiscal 2024. Included in this increase were non-recurring asset impairment and shut-down charges of \$20.6 million related to AIH. The remaining increase was primarily driven by higher compensation benefit expenses and planned increases in marketing, advertising and supply chain spending. As a percentage of wholesale revenues, wholesale operating expenses increased to 11.1 percent of wholesale revenues in fiscal 2025 from 10.7 percent of wholesale revenues in fiscal 2024. Excluding the \$20.6 million of non-recurring AIH charges, wholesale operating expenses were 10.9 percent of wholesale revenues in fiscal 2025.

Retail operating expenses increased \$33.7 million, or 11.3 percent in fiscal 2025, as compared to fiscal 2024. The increase is driven by expenses incurred related to new stores added in 2024 and 2025. Retail operating expenses as a percentage of retail revenue increased to 37.5 percent of retail revenues in fiscal 2025 from 36.1 percent in fiscal 2024.

Interest expense increased \$8.1 million compared to fiscal 2024 due to higher average borrowings.

Other income, net decreased \$10.9 million compared to fiscal 2024 due to the absence of the \$17.8 million gain on sale of the Company's RSC located in Little Rock, Arkansas in fiscal 2024; partially offset by gains on long term investments in fiscal 2025.

Comparison of the Year Ended December 28, 2024 to the Year Ended December 30, 2023

The following data summarizes the Company's performance in fiscal 2024 as compared to fiscal 2023 (in millions):

	2024		2023		Favorable/ (Unfavorable)	
	\$	% of Revenues*	\$	% of Revenues*	\$	%
Revenues:						
Wholesale revenues	8,666.0	91.3%	8,344.7	91.4%	321.3	3.9%
Retail revenues	825.4	8.7%	786.4	8.6%	39.0	5.0%
Total revenues	9,491.4	100.0%	9,131.1	100.0%	360.3	3.9%
Gross profit:						
Wholesale gross profit	1,170.4	13.5%	1,121.6	13.4%	48.8	4.4%
Retail gross profit	374.7	45.4%	356.3	45.3%	18.4	5.2%
Total gross profit	1,545.1	16.3%	1,477.9	16.2%	67.2	4.5%
Operating expenses:						
Wholesale operating expenses	925.3	10.7%	830.7	10.0%	(94.6)	(11.4%)
Retail operating expenses	297.7	36.1%	280.1	35.6%	(17.6)	(6.3%)
Retail pre-opening expenses	4.8	0.6%	6.0	0.8%	1.2	20.0%
Total operating expenses	1,227.8	12.9%	1,116.8	12.2%	(111.0)	(9.9%)
Operating income	317.3	3.4%	361.1	4.0%	(43.8)	(12.1%)
Interest expense	(48.9)	(0.5%)	(38.4)	(0.4%)	(10.5)	(27.3%)
Other income, net	46.6	0.4%	3.4	0.0%	43.2	1270.6%
Net income attributable to Ace Hardware Corporation	315.0	3.3%	326.1	3.6%	(11.1)	(3.4%)

*Wholesale gross profit and expenses are shown as a percentage of wholesale revenues. Retail gross profit and expenses are shown as a percentage of retail revenues. Non-operating items are shown as a percentage of total revenues.

A reconciliation of consolidated revenues follows (in millions):

	Amount	% Change vs. 2023
2023 Revenues	\$ 9,131.1	
<i>Wholesale Merchandise Revenues change based on new and cancelled domestic Ace stores:</i>		
Revenues increase from new stores added since January 2023	238.0	2.6%
Revenues decrease from stores cancelled since January 2023	(32.9)	(0.4%)
Decrease in wholesale merchandise revenues to comparable domestic Ace stores	(35.2)	(0.4%)
Increase in wholesale service revenues from domestic Ace stores	66.4	0.7%
Increase in AWH wholesale revenues	22.0	0.3%
Decrease in AIH wholesale revenues	(1.0)	(0.0%)
Increase in ASH service revenues	46.1	0.5%
Increase in Acehardware.com revenues	48.3	0.5%
Increase in ARG retail revenues	39.0	0.4%
Other revenue changes, net	(30.4)	(0.3%)
2024 Revenues	\$ 9,491.4	3.9%

Consolidated revenues for the year ended December 28, 2024 totaled \$9.5 billion, an increase of \$360.3 million, or 3.9 percent, as compared to the prior year.

Total wholesale revenues were \$8.7 billion for fiscal 2024, an increase of \$321.3 million or 3.9 percent, as compared to the prior year. Increases were seen across many departments with outdoor power equipment, grilling, power tools and generators showing the largest gains. New domestic Ace stores are defined as stores that were activated from January 2023 through December 2024. In 2024, the Company had an increase in wholesale merchandise revenues from new domestic Ace stores of \$238.0 million. This increase was partially offset by a decrease in wholesale merchandise revenues due to domestic Ace store cancellations of \$32.9 million. As a result, the Company realized a net increase in wholesale merchandise revenues of \$205.1 million related to the impact of both new Ace stores affiliated with the Company and from stores that cancelled their membership in 2023 and 2024. Wholesale merchandise revenues to comparable domestic Ace stores decreased \$35.2 million compared to the prior year. Warehouse sales represented 77.2 percent of

wholesale merchandise revenue in 2024 compared to 78.2 percent in 2023, while direct ship sales were 22.8 percent, up from 21.8 percent in 2023.

AWH wholesale revenues were \$480.5 million during fiscal 2024. This is an increase of \$22.0 million from fiscal 2023, which was primarily due to higher sales to digital and pro lumber customers.

AIH wholesale revenues were \$215.0 million during fiscal 2024. This is a decrease of \$1.0 million from fiscal 2023.

ASH wholesale revenues were \$171.8 million during fiscal 2024. This is an increase of \$46.1 million from fiscal 2023 due to the inclusion of a full year of revenues from the PHCE businesses acquired on April 12, 2023.

Revenues from Acehardware.com were \$382.3 million during fiscal 2024. This is an increase of \$48.3 million from fiscal 2023.

Total retail revenues from ARG were \$825.4 million, an increase of \$39.0 million, or 5.0 percent, as compared to the prior year. The GLA chain experienced a 1.6 percent increase in same-store-sales, while the Westlake chain experienced flat same-store-sales compared to fiscal 2023. The new stores opened by ARG in 2023 and 2024 contributed \$42.5 million of incremental revenues during fiscal 2024.

Wholesale gross profit for fiscal 2024 was \$1.2 billion, an increase of \$48.8 million from fiscal 2023. The wholesale gross margin percentage was 13.5 percent of wholesale revenues in fiscal 2024, up slightly from 13.4 percent in fiscal 2023.

Retail gross profit for fiscal 2024 was \$374.7 million, an increase of \$18.4 million from fiscal 2023. The retail gross margin percentage was 45.4 percent of retail revenues in fiscal 2024, up slightly from 45.3 percent in fiscal 2023. For ARG, retail gross profit as reported in the Ace financial statements is based on the Ace wholesale acquisition cost of product, not ARG's acquisition cost which includes a markup from the Company.

Wholesale operating expenses increased \$94.6 million, or 11.4 percent in fiscal 2024, as compared to fiscal 2023. This increase is due to a \$59.8 million increase in marketing and advertising spending, higher compensation benefit expense and a full year of operating expenses from ASH PHCE acquisitions in 2024 compared to a partial year in 2023. As a percentage of wholesale revenues, wholesale operating expenses increased to 10.7 percent of wholesale revenues in fiscal 2024 from 10.0 percent of wholesale revenues in fiscal 2023.

Retail operating expenses increased \$17.6 million, or 6.3 percent in fiscal 2024, as compared to fiscal 2023. The increase is driven by expenses incurred related to new stores added in 2023 and 2024. Retail operating expenses as a percentage of retail revenue increased to 36.1 percent of retail revenues in fiscal 2024 from 35.6 percent in fiscal 2023.

Interest expense increased \$10.5 million compared to fiscal 2023 due to higher average borrowings.

Other income increased \$43.2 million compared to fiscal 2023 due to a \$17.8 million gain on sale of the Company's RSC located in Little Rock, Arkansas and an insurance recovery of approximately \$8.0 million of the \$8.6 million of expenses the Company recorded in 2023 related to the cybersecurity incident.

Liquidity and Capital Resources

The Company believes that existing cash balances, along with the existing lines of credit and long-term financing, will be sufficient to finance the Company's working capital requirements, debt service, patronage distributions, capital expenditures, share redemptions from Retailer cancellations and growth initiatives for at least the next 12 months.

The Company's borrowing requirements have historically arisen from, and are expected to continue to arise from, seasonal working capital needs, debt service, capital improvements and acquisitions, patronage distributions and other general corporate purposes. In the past, the Company has met its operational cash needs using cash flows from operating activities and funds from its revolving credit facilities. The Company currently estimates that its cash flows from operating activities and working capital, together with its lines of credit, will be sufficient to fund its short-term liquidity needs. Actual liquidity and capital funding requirements depend on numerous factors, including operating results, general economic conditions and the cost of capital.

The Company has a \$1.1 billion line of credit facility. The facility is expandable to \$1.4 billion through a \$300.0 million accordion that is exercisable without the consent of existing lenders provided that the Company is not in default of the credit agreement and further provided that none of the existing lenders are required to provide any portion of the increased facility. At the Company's discretion, borrowings under the credit facility bear interest at a rate of either 25 to 100 basis points over the prime rate or 125 to 200 basis points over the Secured Overnight Financing Rate ("SOFR"), depending on the Company's leverage ratio. The credit facility was priced at SOFR plus 150 basis points at January 3, 2026. Fees on the unused portion of the line of credit range from 17.5 to 27.5 basis points depending on the Company's leverage ratio. The credit facility expires on January 24, 2028. As of January 3, 2026, the Company was in compliance with its covenants and had \$374.5 million in borrowings outstanding under the credit facility.

The credit facility includes a \$175.0 million sublimit for the issuance of standby and commercial letters of credit. As of January 3, 2026, a total of \$38.9 million in letters of credit were outstanding.

The credit facility allows the Company to make revolving loans and other extensions of credit to AIH in an aggregate principal amount not to exceed \$100.0 million at any time. As of January 3, 2026, there were \$11.0 million in loans or other extensions of credit provided to AIH.

The Company's Westlake subsidiary had a \$125.0 million asset-based revolving credit facility ("Westlake Facility") that was scheduled to expire on August 3, 2026. On January 1, 2026, the facility was amended to accommodate the merger of the Company's Westlake and Great Lakes subsidiaries, and the name change of the combined entity to Ace Retail Group, Inc. (ARG). In addition, the maximum borrowing capacity was increased to \$175 million and the due date was extended to December 31, 2030. The facility is expandable to \$200.0 million through a \$25.0 million accordion that is exercisable without the consent of existing lenders provided that the Company is not in default of the credit agreement and further provided that none of the existing lenders are required to provide a portion of the increased facility. Under this facility, ARG has the right to issue letters of credit up to a maximum of \$7.5 million. Borrowings under this facility bear interest at a rate of either the prime rate plus an applicable spread of 25 to 50 basis points or SOFR plus an applicable spread of 125 to 150 basis points, depending on ARG's average availability under the ARG Facility as measured on a trailing 12-month basis. The ARG Facility was priced at SOFR plus 125 basis points at January 3, 2026.

The ARG Facility is collateralized by substantially all of ARG's tangible and intangible assets. Borrowings under the facility are subject to a borrowing base calculation consisting of certain advance rates applied to eligible collateral balances (primarily consisting of certain receivables and inventories). This agreement requires maintenance of certain financial covenants including a minimum fixed charge coverage ratio. As of January 3, 2026, ARG was in compliance with its covenants and had \$41.8 million in borrowings outstanding under the ARG Facility.

The ARG Facility includes a lender-controlled cash concentration system that results in all of ARG's daily available cash being applied to the outstanding borrowings under their facility. Pursuant to FASB Accounting Standards Codification Section 470-10-45, "Classification of Revolving Credit Agreements Subject to Lock-Box Arrangements and Subjective Acceleration Clauses," all borrowings under the ARG Facility are classified as a Current maturity of long-term debt.

As of January 3, 2026, total debt was \$467.2 million and was comprised of \$416.3 million borrowed on lines of credit and \$50.9 million owed to former Retailers. As of December 28, 2024, total debt of \$327.1 million was comprised of \$276.6 million borrowed on lines of credit and \$50.5 million owed to former Retailers.

Cash Flows

The Company had \$46.8 million and \$36.3 million of cash and cash equivalents at January 3, 2026 and December 28, 2024, respectively. Following is a summary of the Company's cash flows from operating, investing and financing activities for fiscal years 2025 and 2024, respectively (in millions):

	2025	2024
Cash provided by operating activities before changes in assets and liabilities	\$ 469.1	\$ 431.9
Net changes in assets and liabilities	(69.3)	116.2
Net cash provided by operating activities	399.8	548.1
Net cash used in investing activities	(276.0)	(222.8)
Net cash used in financing activities	(113.3)	(320.9)
Net change in cash and cash equivalents	\$ 10.5	\$ 4.4

The Company's operating activities generated \$399.8 million of cash in fiscal 2025 compared to \$548.1 million in fiscal 2024. Excluding the impact of net changes in assets and liabilities, cash provided by operating activities increased from \$431.9 million in fiscal 2024 to \$469.1 million in fiscal 2025. Higher non-cash operating expenses in 2025 and a non-operating gain in 2024 resulted in higher cash provided by operations in 2025, despite the decline in net income.

The net change in assets and liabilities used \$69.3 million of cash in fiscal year 2025 compared to \$116.2 million provided in fiscal year 2024. Accounts payable and accrued expenses increased \$7.7 million during fiscal 2025 compared to an increase of \$149.7 million during fiscal 2024. The higher increase in accounts payable and accrued expenses during fiscal 2024 was primarily due to the timing of vendor payments.

Net cash used for investing activities was \$276.0 million in fiscal 2025 compared to \$222.8 million in fiscal 2024. Investing activities in fiscal 2025 consisted of \$226.9 million in capital expenditures, a \$31.3 million increase in notes receivable for Retailer loan programs and \$17.8 million paid to acquire businesses. Investing activities in fiscal 2024 consisted of \$155.4 million in capital expenditures, \$58.6 million paid to acquire businesses and a \$37.3 million increase in notes receivable for Retailer loan programs; partially offset by \$22.7 million of proceeds from the sale of the Company's RSC located in Little Rock, Arkansas.

Net cash used in financing activities was \$113.3 million in fiscal 2025 compared to \$320.9 million provided in fiscal 2024. During 2025, the Company borrowed \$139.7 million under its revolving credit facilities, paid \$137.8 million for the cash portion of the 2024 patronage distribution, made principal payments on finance leases of \$52.7 million, paid \$28.8 million on patronage refund certificates and made payments on long-term debt of \$22.6 million. During 2024, the Company paid \$137.1 million for the cash portion of the 2023 patronage distribution, paid down borrowings under its revolving credit facilities by \$85.3 million, made principal payments on finance leases of \$40.3 million, paid \$22.9 million on patronage refund certificates and made payments on long-term debt of \$21.1 million.

Off-Balance Sheet Arrangements

The Company has certain other guarantees, as further described in the Notes to the Consolidated Financial Statements – Note 12 – Commitments and Contingencies. The Company believes the likelihood of any such payment under these guarantees is remote.

Application of Critical Accounting Policies and Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses in the consolidated financial statements. On an ongoing basis, the Company evaluates its estimates and judgments based on historical experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates, and these estimates would vary under different assumptions or conditions. Management believes these estimates and assumptions are reasonable.

The Company annually reviews its financial reporting and disclosure practices and accounting policies to ensure that they provide accurate and comprehensive information relative to the current economic and business environment. The Company's significant accounting policies are described in the Notes to the Consolidated Financial Statements. The following represents those critical accounting policies which involve a relatively higher degree of judgment, estimation and complexity and where materially different amounts could be reported under different conditions or using different assumptions.

Valuation of Inventories When necessary, the Company provides allowances to adjust the carrying value of inventories to the lower of cost or market, including costs to sell or dispose of surplus or damaged/obsolete inventory, and for estimated shrinkage. Estimates of the future demand for the Company's products are key factors used by management in assessing the net realizable value of the inventories. While management believes that the estimates used are appropriate, an unanticipated decline in revenues at retail outlets or a significant decline in demand for products in selected product categories could result in valuation adjustments.

Vendor Funds The Company receives funds from vendors in the normal course of business principally as a result of purchase volumes, revenues or promotions of vendors' products. Based on the provisions of the vendor agreements in place, management develops accrual rates by estimating the point at which the Company will have completed its performance under the agreement and the

amount agreed upon will be earned. Amounts accrued throughout the year can be impacted if actual purchase volumes differ from projected annual purchase volumes, especially in the case of programs that provide for increased funding when graduated purchase volumes are met. At year-end, the accrual reflects actual purchases made throughout the year.

Vendor funds are treated as a reduction of inventory cost, unless they represent a reimbursement of specific, incremental and identifiable costs incurred by the customer to sell the vendor's product, in which case the costs would be netted. The majority of the vendor funds that the Company receives do not meet the specific, incremental and identifiable criteria. Therefore, the Company treats a majority of these funds as a reduction in the cost of inventory as the amounts are accrued and recognized as a reduction of cost of revenues when the inventory is sold.

Allowance for Expected Credit Losses The Company estimates an allowance for credit losses related to future expected losses by using relevant information such as historical collection statistics, current customer credit information, the current economic environment, the aging of receivables, the evaluation of compliance with lending covenants and the offsetting amounts due to Retailers for stock, notes, interest and anticipated but unpaid patronage distributions. Significant past due accounts are reserved on a specific identification basis. For the remainder of the accounts, the allowance is evaluated on a pool basis for accounts with similar risk characteristics and a loss-rate for each pool is determined using current conditions and historical credit loss statistics. The Company considers accounts and notes receivable past due if invoices remain unpaid past their due date and provides for the write-off of uncollectible receivables after exhausting all commercially reasonable collection efforts. While the Company believes it has appropriately considered known or expected outcomes, its customers' ability to pay their obligations, including those to the Company, could be adversely affected by declining revenues at retail resulting from such factors as contraction in the economy or competitive conditions in the wholesale and retail industry including increased competition from omni-channel retailers, discount stores, chain stores and other mass merchandisers.

Insurance Reserves Insurance reserves for claims related to the Company's self-insured property, general liability, workers' compensation and auto liability insurance programs are dependent on assumptions used in calculating such amounts. These assumptions include projected ultimate losses and confidence levels of the reserve requirement and consider historical loss levels and other factors. While management believes that the assumptions used are appropriate, differences in actual claims experience or changes in assumptions may affect the Company's insurance reserves.

Goodwill Goodwill represents the excess of the cost of an acquired business over the fair value of net tangible assets acquired and identified intangible assets. Goodwill is not amortized but is tested for impairment at a reporting unit level on an annual basis or more frequently, if circumstances change or an event occurs that would more likely than not reduce the fair value of a reporting unit below its carrying amount.

Qualitative factors may be assessed to determine whether it is more likely than not that the fair value of the reporting unit is less than its carrying amount. If an election is made to not perform the qualitative assessment, or the qualitative assessment indicates that the carrying amount is more likely than not higher than the fair value, goodwill is tested for impairment. If the fair value of a reporting unit exceeds its carrying amount, goodwill of the reporting unit is considered not impaired. If the carrying amount of a reporting unit exceeds its fair value, an impairment loss shall be recognized in an amount equal to that excess.

Significant judgment is applied when goodwill is assessed for impairment. This judgment includes developing cash flow projections, selecting appropriate discount rates, identifying relevant market comparables, incorporating general economic and market conditions and selecting an appropriate control premium. The income approach is based on discounted cash flows, which are derived from internal forecasts and economic expectations for each respective reporting unit.

The Company tests reporting units for impairment annually as of the first day of the fourth quarter, or more frequently if events or circumstances indicate it is more likely than not that the fair value of a reporting unit is less than its carrying value. No goodwill impairment charge was recorded during fiscal years 2025 and 2024.

Qualitative and Quantitative Disclosure About Market Risk

Inflation and Changes in Prices The Company's business is not generally governed by contracts that establish prices substantially in advance of the receipt of goods or services. As vendors increase or decrease their prices for merchandise supplied to the Company, the Company generally increases or decreases the price to its customers in an equal amount plus the normal handling charge on such amounts. The U.S. economy experienced a significant increase in inflation as the prices of raw materials and freight negatively impacted the costs the Company pays to acquire products. For the most part, the Company was able to offset the effect of increased costs by passing along cost increases to the Company's customers. Although inflation has slowed, the Company is unable to ensure that a future increase in inflation will be able to be passed on to its customers through increased prices. If these increases cannot be passed to our customers, our financial condition, results of operations, liquidity, and cash flows may be negatively affected.

Foreign Currency Although the Company has international operating entities, its exposure to foreign currency rate fluctuations is not significant to its financial condition and results of operations.

Customer Credit Risk The Company is exposed to the risk of financial non-performance by customers. The Company's ability to collect on sales to its customers is dependent on the liquidity of its customer base. Volatility in credit markets may reduce the liquidity

of the Company's customer base. To manage customer credit risk, the Company monitors historical collection statistics, current retailer credit information, the current economic environment, the aging of receivables, the evaluation of compliance with lending covenants and the offsetting amounts due to Retailers for stock, notes, interest and anticipated but unpaid patronage distributions. From certain customers, the Company also obtains collateral as considered necessary to reduce risk of loss. The Company does not believe the loss of any single customer would have a material adverse effect on its results of operations.

Interest Rate Volatility The Company has exposure to fluctuations in interest rates on its floating rate debt. The Company believes that its exposure to interest rate fluctuations is not significant to its financial condition and results of operations.

Certain Other Risks

The Company relies extensively on information technology systems, some of which are managed or provided by third-party service providers, to analyze, process, store, manage and protect transactions and data. In managing the business, the Company also relies heavily on the integrity of, security of and consistent access to this data for information such as customer data, merchandise planning and inventory replenishment, supplier purchases, sales to Retailers, warehousing, distribution, inventory control, and various corporate-level financial and other functions including communication with the Retailers. The Company's systems and the systems managed by third parties are subject to damage or interruption from a number of causes, including power outages; computer and telecommunications failures; computer viruses; security breaches or cyber-attacks. Although the Company and the third-party service providers seek to maintain the Company's respective systems effectively and to successfully address the risk of compromise of the integrity, security and consistent operations of these systems, such efforts may not be successful. If the Company's or our service providers' systems are damaged, breached or cease to function properly, this could significantly disrupt the Company's operations and be costly, time consuming and resource-intensive to remedy.

The Company and its third-party system providers receive, collect and store personally identifiable, confidential, proprietary and other information from our vendors, customers and employees so that they may, among other things, purchase products or services and enroll in promotional programs. Any breach of the Company's or its third-party system providers' security could result in significant costs to protect any customers, vendors, employees, and other parties whose personal data is compromised. Loss of customer, supplier, employee or other business information could disrupt operations, damage the Company's reputation and expose the Company to claims from customers, vendors, financial institutions, regulators, payment card associations, employees and others, any of which could have a material adverse effect on the Company, its financial condition and results of operations.

The Company imports inventory from manufacturers outside the United States, particularly in Asia. Importing involves risks including duties, tariffs, quotas on imported merchandise and potential disruptions resulting from geopolitical problems in countries from which merchandise is imported. Our ability to manage the importing of goods from overseas, their production, timing of deliveries and U.S. Customs-related compliance is an important component of our merchandising strategy. Geopolitical issues and military conflicts outside of the United States may increase the likelihood of supply chain interruptions and have a negative impact on our import activities.

The Company continues to monitor these market forces and risks but cannot reasonably predict the long-term impacts of these evolving developments.

Disclosure Regarding Forward-Looking Statements

This document includes certain forward-looking statements about the expectations of the Company. Although the Company believes these statements are based on reasonable assumptions, actual results may vary materially from stated expectations. Such forward-looking statements may be identified by the use of forward-looking words or phrases such as "anticipate," "believe," "expect," "intend," "may," "planned," "potential," "should," "will," "would," "project," "estimate," "ultimate," or similar phrases. Actual results may differ materially from those indicated in the Company's forward-looking statements and undue reliance should not be placed on such statements.

Factors that could cause materially different results include, but are not limited to, weather conditions, natural disasters, civil unrest; pandemics; acts of terrorism; fair value accounting adjustments; inventory valuation; health care costs; insurance costs or recoveries; legal costs; borrowing needs; interest rates; credit conditions; economic and market conditions; increases in fuel costs; accidents, leaks, equipment failures, ransomware attacks, cybersecurity incidents, technology disruptions and other operating risks; legislative actions; change in tax laws and tax rulings or audit results; asset sales; ineffective integration of acquired businesses; significant unplanned capital needs; changes in accounting principles, interpretations, methods, judgments or estimates; performance of major customers; reliance on third-party transporters, suppliers and contractors and interruption of product supply or increases in product costs due to inflation and increased tariffs; labor relations, increased labor costs and continued access to qualified labor.

Readers are cautioned not to place undue reliance on these forward-looking statements, which speak only as of the date of this report. The Company undertakes no obligation to publicly release any revision to these forward-looking statements to reflect events or circumstances after the date of this report.

FIVE YEAR SUMMARY OF EARNINGS AND DISTRIBUTIONS

	Years Ended				
	January 3, 2026 (53 Weeks)	December 28, 2024 (52 Weeks)	December 30, 2023 (52 Weeks)	December 31, 2022 (52 Weeks)	January 1, 2022 (52 Weeks)
Revenues	\$ 10,043.6	\$ 9,491.4	\$ 9,131.1	\$ 9,169.8	\$ 8,594.2
Cost of revenues	8,370.6	7,946.3	7,653.2	7,808.4	7,299.8
Gross profit	1,673.0	1,545.1	1,477.9	1,361.4	1,294.4
Total operating and other expenses, net	1,374.5	1,230.1	1,151.8	1,019.7	963.7
Net income attributable to Ace Hardware Corporation	\$ 298.5	\$ 315.0	\$ 326.1	\$ 341.7	\$ 330.7

Distribution of net income:

Patronage distributions to third party Retailers	\$ 339.6	\$ 335.6	\$ 335.7	\$ 323.6	\$ 294.1
Net (loss) income of non-patronage activities	(41.1)	(20.6)	(9.6)	18.1	36.6
Net income attributable to Ace Hardware Corporation	\$ 298.5	\$ 315.0	\$ 326.1	\$ 341.7	\$ 330.7

MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The consolidated financial statements presented in this Annual Report have been prepared with integrity and objectivity and are the responsibility of the management of Ace Hardware Corporation. These consolidated financial statements have been prepared in conformity with U.S. generally accepted accounting principles and properly reflect certain estimates and judgments based upon the best available information.

The Company maintains a system of internal accounting controls, which is supported by an internal audit program and is designed to provide reasonable assurance, at an appropriate cost, that the Company's assets are safeguarded and transactions are properly recorded. This system is continually reviewed and modified in response to changing business conditions and operations and as a result of recommendations by the internal and external auditors. In addition, the Company has distributed to employees its policies for conducting business affairs in a lawful and ethical manner.

The consolidated financial statements of the Company have been audited by Ernst & Young LLP, independent accountants. Their accompanying report is based upon audits conducted in accordance with auditing standards generally accepted in the United States of America.

The Audit and Finance Committee of the Board of Directors meets periodically with the independent auditors and with the Company's internal auditors, both privately and with management present, to review accounting, auditing, internal control and financial reporting matters. The Audit and Finance Committee recommends to the full Board of Directors the selection of the independent auditors and regularly reviews the internal accounting controls, the activities of the outside auditors and internal auditors and the financial condition of the Company. Both the Company's independent auditors and the internal auditors have free access to the Audit and Finance Committee.

February 17, 2026

/s/ John Venhuizen
John Venhuizen
President and Chief Executive Officer

/s/ William M. Guzik
William M. Guzik
Executive Vice President,
Chief Financial Officer and Chief Risk Officer

/s/ Steven G. Locanto
Steven G. Locanto
Vice President, Controller



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